Bafang Yunji International Co., Ltd. and subsidiaries

Consolidated Financial Statements for the Six Months Ended June 30, 2026 and 2025 and Independent Auditors' Review Report

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INDEPENDENT AUDITORS' REVIEW REPORT

The Board of Directors and Shareholders
Bafang Yunji International Co., Ltd.

Introduction

We have reviewed the accompanying consolidated balance sheets of Bafang Yunji International Co., Ltd. and its subsidiaries (the "Group") as of June 30, 2026 and 2025, the related consolidated statements of comprehensive income for the three months ended June 30, 2026 and 2025 and for the six months ended June 30, 2026 and 2025, the consolidated statements of changes in equity and cash flows for the six months ended June 30, 2026 and 2025, and the related notes to the consolidated financial statements, including a summary of significant accounting policies (collectively referred to as the "consolidated financial statements"). Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers and International Accounting Standard 34 "Interim Financial Reporting" endorsed and issued into effect by the Financial Supervisory Commission of the Republic of China. Our responsibility is to express a conclusion on the consolidated financial statements based on our reviews.

Scope of Review

We conducted our reviews in accordance with the Standards on Review Engagements of the Republic of China 2410 "Review of Interim Financial Information Performed by the Independent Auditor of the Entity". A review of consolidated financial statements consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

Conclusion

Based on our reviews, nothing has come to our attention that caused us to believe that the accompanying consolidated financial statements do not present fairly, in all material respects, the consolidated financial position of the Group as of June 30, 2026 and 2025, its consolidated financial performance for the three months ended June 30, 2026 and 2025, and its consolidated financial performance and its consolidated cash flows for the six months ended June 30, 2026 and 2025 in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers and International Accounting Standard 34 "Interim Financial Reporting" endorsed and issued into effect by the Financial Supervisory Commission of the Republic of China.

The engagement partners on the audits resulting in this independent auditors' report are Li-Huang Lee and Bo-Jen Weng.

Deloitte & Touche
Taipei, Taiwan
Republic of China

August 12, 2026

Notice to Readers

The accompanying consolidated financial statements are intended only to present the consolidated financial position, financial performance and cash flows in accordance with accounting principles and practices generally accepted in the Republic of China and not those of any other jurisdictions. The standards, procedures and practices to audit such consolidated financial statements are those generally applied in the Republic of China.

For the convenience of readers, the independent auditors' report and the accompanying consolidated financial statements have been translated into English from the original Chinese version prepared and used in the Republic of China. If there is any conflict between the English version and the original Chinese version or any difference in the interpretation of the two versions, the Chinese-language independent auditors' report and consolidated financial statements shall prevail.

BAFANG YUNJI INTERNATIONAL CO., LTD. AND SUBSIDIARIES

CONSOLIDATED BALANCE SHEETS
(In Thousands of New Taiwan Dollars)

ASSETS	June 30, 2026 Amount	%	December 31, 2025 Amount	%	June 30, 2025 Amount	%
CURRENT ASSETS						
Cash and cash equivalents (Notes 6 and 33)	$ 1,608,371	19	$ 1,518,020	18	$ 1,432,607	20
Financial assets at fair value through profit or loss - current (Notes 7 and 33)	360,414	4	120,417	2	-	-
Financial assets at amortized cost - current (Notes 8, 9, 33 and 35)	397,676	5	509,722	6	274,580	4
Accounts receivables (Notes 11, 27, 33 and 34)	172,638	2	178,639	2	160,668	2
Lease receivables (Notes 12 and 34)	18,397	-	26,004	-	25,364	-
Other receivables (Notes 11, 33 and 34)	6,157	-	6,634	-	6,881	-
Current tax assets	2,707	-	3,812	-	7,927	-
Inventories (Note 13)	485,919	6	445,712	5	404,477	6
Other prepayments (Note 18)	90,532	1	150,408	2	101,232	1
Other current assets (Notes 19, 33 and 35)	38,971	1	39,830	1	50,038	1
Total current assets	3,181,782	38	2,999,198	36	2,463,774	34
NON-CURRENT ASSETS						
Financial assets at fair value through other comprehensive income - non-current (Notes 10 and 33)	3,750	-	3,750	-	3,750	-
Financial assets at amortized cost - non-current (Notes 8, 9 and 33)	-	-	-	-	9,780	-
Property, plant and equipment (Notes 15 and 35)	3,330,631	40	3,292,432	40	3,007,479	42
Right-of-use assets (Notes 16 and 34)	1,512,744	18	1,533,983	19	1,359,103	19
Other intangible assets (Note 17)	21,137	-	24,245	-	14,883	-
Deferred tax assets	8,834	-	7,978	-	24,934	1
Prepayments for equipment	179,708	2	145,775	2	77,578	1
Refundable deposits (Note 33)	168,966	2	172,570	2	165,821	2
Long-term lease receivables (Notes 12 and 34)	37,101	-	46,459	1	25,715	1
Total non-current assets	5,262,871	62	5,227,192	64	4,689,043	66
TOTAL	$ 8,444,653	100	$ 8,226,390	100	$ 7,152,817	100
LIABILITIES AND EQUITY						
CURRENT LIABILITIES						
Short-term borrowings (Notes 20 and 33)	$ 111,475	1	$ 110,005	1	$ 702,200	10
Notes payable (Notes 22 and 33)	618	-	1,422	-	3,317	-
Accounts payables (Notes 22 and 33)	287,390	3	286,682	3	239,855	3
Other payables (Notes 23, 33 and 34)	902,913	11	711,988	9	785,362	11
Current tax liabilities	125,662	2	152,970	2	104,767	2
Lease liabilities - current (Notes 16, 33 and 34)	373,322	4	415,115	5	362,000	5
Current portion of long-term borrowings (Notes 20, 33 and 35)	30,400	-	17,307	-	7,227	-
Other current liabilities (Note 23)	59,335	1	53,031	1	54,783	1
Total current liabilities	1,891,115	22	1,748,520	21	2,259,511	32
NON-CURRENT LIABILITIES						
Bonds payable (Notes 21, and 33)	951,524	11	941,301	12	-	-
Long-term borrowings (Notes 20, 33, and 35)	82,946	1	74,442	1	33,360	-
Provisions (Note 24)	5,099	-	5,807	-	5,759	-
Deferred tax liabilities	5,197	-	8,957	-	11,140	-
Lease liabilities - non-current (Notes16, 33 and 34)	1,241,027	15	1,227,900	15	1,069,286	15
Net defined benefit liabilities - non-current (Note 25)	339	-	342	-	305	-
Guarantee deposits received (Notes 33 and 34)	82,170	1	65,905	1	59,867	1
Total non-current liabilities	2,368,302	28	2,324,654	29	1,179,717	16
Total liabilities	4,259,417	50	4,073,174	50	3,439,228	48
EQUITY ATTRIBUTABLE TO OWNERS OF THE COMPANY (Note 26)						
Ordinary shares	666,448	8	666,448	8	666,448	9
Stock dividend to be distributed	33,322	-	-	-	-	-
Capital surplus	1,076,891	13	1,076,754	13	1,000,579	14
Retained earnings						
Legal reserve	641,377	8	555,767	7	555,767	8
Unappropriated earnings	1,341,024	16	1,492,800	18	1,290,823	18
Total retained earnings	1,982,401	24	2,048,567	25	1,846,590	26
Other equity						
Exchange differences on the translation of the financial statements of foreign operations	15,902	-	7,727	-	(62,002)	(1)
Total other equity	15,902	-	7,727	-	(62,002)	(1)
Equity attributable to owners of the Company	3,774,964	45	3,799,496	46	3,451,615	48
NON-CONTROLLING INTERESTS (Notes 14 and 26)	410,272	5	353,720	4	261,974	4
Total equity	4,185,236	50	4,153,216	50	3,713,589	52
TOTAL	$ 8,444,653	100	$ 8,226,390	100	$ 7,152,817	100

The accompanying notes are an integral part of the consolidated financial statements.

BAFANG YUNJI INTERNATIONAL CO., LTD. AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
(In Thousands of New Taiwan Dollars, Except Earnings Per Share)

	For the three months ended June 30				For the six months ended June 30			
	2026		2025		2026		2025	
	Amount	%	Amount	%	Amount	%	Amount	%
OPERATING REVENUE (Notes 27 and 34)	$ 2,333,348	100	$ 2,107,767	100	$ 4,596,176	100	$ 4,285,116	100
OPERATING COSTS (Notes 13 and 28)	(1,501,978)	(64)	(1,348,316)	(64)	(2,940,028)	(64)	(2,758,300)	(64)
GROSS PROFIT	831,370	36	759,451	36	1,656,148	36	1,526,816	36
OPERATING EXPENSES (Notes 28 and 34)								
Selling and marketing expenses	(418,092)	(18)	(395,396)	(19)	(824,450)	(18)	(802,015)	(19)
General and administrative expenses	(136,811)	(6)	(117,448)	(6)	(266,761)	(6)	(232,675)	(6)
Research and development expenses	(4,013)	-	(5,475)	-	(8,565)	-	(9,974)	-
Total operating expenses	(558,916)	(24)	(518,319)	(25)	(1,099,776)	(24)	(1,044,664)	(25)
PROFIT FROM OPERATIONS	272,454	12	241,132	11	556,372	12	482,152	11
NON-OPERATING INCOME AND EXPENSES(Notes 28 and 34)								
Interest income	6,015	-	3,677	-	9,614	-	5,053	-
Other income	14,640	1	11,302	1	25,679	1	22,560	1
Other gains and losses	362	-	(10,238)	-	1,886	-	(16,790)	-
Finance costs	(22,003)	(1)	(12,717)	(1)	(42,881)	(1)	(24,863)	(1)
Total non-operating income and expenses	(986)	-	(7,976)	-	(5,702)	-	(14,040)	-
PROFIT BEFORE INCOME TAX	271,468	12	233,156	11	550,670	12	468,112	11
INCOME TAX EXPENSE (Notes 4 and 29)	(58,210)	(3)	(49,396)	(2)	(114,433)	(2)	(95,034)	(3)
NET PROFIT FOR THE PERIOD	213,258	9	183,760	9	436,237	10	373,078	8
OTHER COMPREHENSIVE INCOME								
Items that may be reclassified subsequently to profit or loss:								
Exchange differences on translation of the financial statements of foreign operations (Note 26)	(8,683)	-	(189,128)	(9)	15,418	-	(167,996)	(4)
Income tax related to items that may be reclassified subsequently to profit or loss (Notes 4, and 29)	1,536	-	30,731	1	(2,044)	-	27,286	1
Other comprehensive income for the period	(7,147)	-	(158,397)	(8)	13,374	-	(140,710)	(3)
TOTAL COMPREHENSIVE INCOME FOR THE PERIOD	$ 206,111	9	$ 25,363	1	$ 449,611	10	$ 232,368	5
NET PROFIT ATTRIBUTABLE TO:	$ 230,032	10	$ 192,581	9	$ 466,992	10	$ 387,538	9
Owners of the Company	(16,774)	(1)	(8,821)	-	(30,755)	(1)	(14,460)	-
Non-controlling interests	$ 213,258	9	$ 183,760	9	$ 436,237	9	$ 373,078	9
TOTAL COMPREHENSIVE INCOME ATTRIBUTABLE TO:								
Owners of the Company	$ 223,884	10	$ 69,657	3	$ 475,167	10	$ 278,388	6
Non-controlling interests	(17,773)	(1)	(44,294)	(2)	(25,556)	-	(46,020)	(1)
	$ 206,111	9	$ 25,363	1	$ 449,611	10	$ 232,368	5
EARNINGS PER SHARE (Note 30)								
Basic	$ 3.45		$ 2.89		$ 7.01		$ 5.81	
Diluted	$ 3.28		$ 2.89		$ 6.65		$ 5.81	

The accompanying notes are an integral part of the consolidated financial statements.

BAFANG YUNJI INTERNATIONAL CO., LTD. AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY
FOR THE SIX MONTHS ENDED JUNE 30, 2026 and 2025
(In Thousands of New Taiwan Dollars)

	Equity Attributable to Owners of the Company (Note 26)										
	Share Capital				Retained Earnings			Other Equity			
	Number of Shares (In Thousands of Shares)	Ordinary share	Stock dividend to be distributed	Capital Surplus	Legal Reserve	Special Reserve	Unappropriated Earnings	Exchange Differences on Translation of the Financial Statements of Foreign Operations	Total	Non-controlling Interests(Note14 and 26)	Total Equity
BALANCE ON JANUARY 1, 2025	66,645	$ 666,448	$ -	$ 1,000,579	$ 495,473	$ 1,619	$ 1,362,129	$ 47,148	$ 3,573,396	$ 242,444	$ 3,815,840
Appropriation of earnings											
Legal reserve	-	-	-	-	60,294	-	(60,294)	-	-	-	-
Special reserve	-	-	-	-	-	(1,619)	1,619	-	-	-	-
Cash dividends distributed by the Company	-	-	-	-	-	-	(400,169)	-	(400,169)	-	(400,169)
Net profit for the six months ended June 30, 2025	-	-	-	-	-	-	387,538	-	387,538	(14,460)	373,078
Other comprehensive income for the six months ended June 30, 2025, net of income tax	-	-	-	-	-	-	-	(109,150)	(109,150)	(31,560)	(140,710)
Total comprehensive income for the six months ended June 30, 2025	-	-	-	-	-	-	387,538	(109,150)	278,388	(46,020)	232,368
Non-controlling interests	-	-	-	-	-	-	-	-	-	65,550	65,550
BALANCE ON JUNE 30, 2025	66,645	$ 666,448	$ -	$ 1,000,579	$ 555,767	$ -	$ 1,290,823	$ (62,002)	$ 3,451,615	$ 261,974	$ 3,713,589
BALANCE ON JANUARY 1, 2026	66,645	$ 666,448	$ -	$ 1,076,754	$ 555,767	$ -	$ 1,492,800	$ 7,727	$ 3,799,496	$ 353,720	$ 4,153,216
Appropriation of earnings											
Legal reserve	-	-	-	-	85,610	-	(85,610)	-	-	-	-
Cash dividends distributed by the Company	-	-	-	-	-	-	(499,836)	-	(499,836)	-	(499,836)
Stock dividends distributed by the Company	-	-	33,322	-	-	-	(33,322)	-	-	-	-
Other changes in capital surplus											
Gains from the exercise of disgorgement rights by the Company	-	-	-	137	-	-	-	-	137	-	137
Net profit for the six months ended June 30, 2026	-	-	-	-	-	-	466,992	-	466,992	(30,755)	436,237
Other comprehensive income for the six months ended June 30, 2026, net of income tax	-	-	-	-	-	-	-	8,175	8,175	5,199	13,374
Total comprehensive income for the six months ended June 30, 2026	-	-	-	-	-	-	466,992	8,175	475,167	(25,556)	449,611
Non-controlling interests	-	-	-	-	-	-	-	-	-	82,108	82,108
BALANCE ON JUNE 30, 2026	66,645	$ 666,448	$ 33,322	$ 1,076,891	$ 641,377	$ -	$ 1,341,024	$ 15,902	$ 3,774,964	$ 410,272	$ 4,185,236

The accompanying notes are an integral part of the consolidated financial statements.

BAFANG YUNJI INTERNATIONAL CO., LTD. AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF CASH FLOWS
FOR THE SIX MONTHS ENDED JUNE 30, 2026 and 2025
(In Thousands of New Taiwan Dollars)

	2026	2025
CASH FLOWS FROM OPERATING ACTIVITIES		
Income before income tax	$ 550,670	$ 468,112
Adjustments for:		
Depreciation expense	375,912	384,072
Amortization expense	4,040	2,897
Finance costs	42,881	24,863
Net gain on fair value changes of financial assets and liabilities at fair value through profit or loss	(667)	(88)
Interest income	(9,614)	(5,053)
Loss on disposal of property, plant and equipment	100	11,905
Loss on disposal of intangible assets	3	-
Write-down of inventories	-	6,059
Loss (Gain) on lease modification	391	(794)
Changes in operating assets and liabilities		
Accounts receivables	5,995	17,573
Inventories	(40,212)	(111,479)
Other receivables	434	(1,597)
Prepayments	59,876	47,883
Other current assets	1,324	(370)
Notes payable	(804)	1,157
Accounts payables	708	(21,639)
Other payables	(33,952)	(61,799)
Other current liabilities	6,304	1,281
Net defined benefit liabilities	(3)	(42)
Cash generated from operations	963,386	762,941
Interest received	9,111	3,820
Interest paid	(6,315)	(5,687)
Income tax paid	(147,296)	(88,257)
Net cash generated from operating activities	818,886	672,817
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of financial assets at fair value through profit or loss	(540,000)	-
Proceeds from sale of financial assets at fair value through profit or loss	300,670	250,478
Purchase of financial assets at amortized cost	-	(166,030)
Proceeds from sale of financial assets at amortized cost	112,046	-
Payments for property, plant and equipment	(189,573)	(383,480)
Proceeds from disposal of property, plant and equipment	24,021	19,422
Decrease in refundable deposits	3,604	12,054
Payments for intangible assets	(95)	(356)
Payments for use-of-right assets	-	(4,261)
Decrease in lease receivables	15,562	17,743
Increase in other financial assets	(465)	(46,881)
Increase in prepayments for equipment	(45,750)	(20,078)
Net cash used in investing activities	(319,980)	(321,389)

(Continued)

BAFANG YUNJI INTERNATIONAL CO., LTD. AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF CASH FLOWS
FOR THE SIX MONTHS ENDED JUNE 30, 2026 and 2025
(In Thousands of New Taiwan Dollars)

	2026	2025
CASH FLOWS FROM FINANCING ACTIVITIES		
Increase in short-term borrowings	$ -	$ 520,237
Proceeds from long-term borrowings	28,453	15,930
Repayments of long-term borrowings	(8,046)	(2,307)
Proceeds from guarantee deposits received	16,265	4,391
Repayment of the principal portion of lease liabilities	(268,737)	(276,609)
Dividends paid	(266,579)	(132,990)
Changes in non-controlling interests	82,108	65,550
Gains from the exercise of disgorgement rights by the Company	137	-
Net cash (used in) generated from financing activities	(416,399)	194,202
EFFECTS OF EXCHANGE RATE CHANGES ON THE BALANCE OF CASH HELD IN FOREIGN CURRENCIES	7,844	(75,172)
NET INCREASE IN CASH AND CASH EQUIVALENTS	90,351	470,458
CASH AND CASH EQUIVALENTS AT THE BEGINNING OF THE PERIOD	1,518,020	962,149
CASH AND CASH EQUIVALENTS AT THE END OF THE PERIOD	$ 1,608,371	$ 1,432,607

The accompanying notes are an integral part of the consolidated financial statements. (Concluded)

1. COMPANY HISTORY

Bafang Yunji International Co., Ltd. ("the Company") was incorporated on January 19, 2000, and is currently engaged in restaurant business, wholesale of food and groceries, retail of beverages, manufacturing of processed bean products, and manufacturing of baked and steamed food products.

The Company's shares have been listed on the Taiwan Stock Exchange since September 2021.

The consolidated financial statements are presented in the Company's functional currency, the New Taiwan dollar.

2. DATE AND PROCEDURE FOR APPROVAL OF FINANCIAL STATEMENTS

The accompanying consolidated financial statements were approved and authorized for issue by the Board of Directors on August 12, 2026.

3. APPLICATION OF NEW AND REVISED STANDARDS AND INTERPRETATION

a. Initial application of the amendments to the International Financial Reporting Standards (IFRS), International Accounting Standards (IAS), IFRIC Interpretations (IFRIC), and SIC Interpretations (SIC) (collectively, the "IFRS Accounting Standards") endorsed and issued into effect by the Financial Supervisory Commission (FSC)

Amendments to IAS 21 "Lack of Exchangeability"

The initial application of the Amendments to IAS 21 "Lack of Exchangeability" did not have a material impact on the Group's accounting policies.

b. The IFRS Accounting Standards endorsed by the FSC for application starting from 2027

New, Amended and Revised Standards and Interpretations	Effective Date Announced by IASB
IFRS 18 "Presentation and Disclosure in Financial Statements"	January 1, 2027 (Note 1)
IFRS 19 "Subsidiaries without Public Accountability: Disclosures" (including the 2025 amendments to IFRS 19)	January 1, 2027
Amendments to IAS 21 "Translation to a Hyperinflationary Presentation Currency"	January 1, 2027
Amendments to IAS 28 "Amendments to the Fair Value Option for Investments in Associates and Joint Ventures	January 1, 2027 (Note 2)

Note 1: IFRS 18 will take effect starting from January 1, 2028 for domestic entities. Earlier application is permitted.

Note 2: An entity shall apply the amendments when it applies IFRS 18.

IFRS 18 "Presentation and Disclosure in Financial Statements" and consequential amendments and Amendments to IAS 28 "Amendments to the Fair Value Option for Investments in Associates and Joint Ventures"

IFRS 18 will supersede IAS 1 "Presentation of Financial Statements". The main changes comprise:

- To classify items of income and expenses presented in the statement of profit or loss into the operating, investing, financing, income taxes and discontinued operations categories, the Group shall assess whether it has specified main business activities of investing in particular types of assets and providing financing to customers.

- The statement of profit or loss shall present totals and subtotals for operating profit or loss, profit or loss before financing and income taxes and profit or loss.

- Provides guidance to enhance the requirements of aggregation and disaggregation: The Group shall identify the assets, liabilities, equity, income, expenses and cash flows that arise from individual transactions or other events and shall classify and aggregate them into groups based on shared characteristics, so as to result in the presentation in the primary financial statements of line items that have at least one similar characteristic. The Group shall disaggregate items with dissimilar characteristics in the primary financial statements and in the notes. The Group labels items as "other" only if it cannot find a more informative label.

- Disclosures on Management-defined Performance Measures (MPMs): When in public communications outside financial statements and communicating to users of financial statements management's view of an aspect of the financial performance of the Group as a whole, the Group shall disclose related information about its MPMs in a single note to the financial statements, including the description of such measures, calculations, reconciliations to the subtotal or total specified by IFRS Accounting Standards and the income tax and non-controlling interests effects of related reconciliation items.

At the date of initial application of IFRS 18, an entity that is a venture capital organization, mutual fund, unit trust or similar entity is permitted to change its election from measuring an investment in an associate or joint venture from the equity method to fair value through profit or loss. The amendments to IAS 28 clarify that aforementioned "similar entity" includes the entity that performs the assessments in accordance with the requirements of IFRS 18 and concludes that it has a main business activity of investing in particular types of assets. If eligible, the Group may apply the transition upon initial application.

In addition, the following consequential amendments have been made to IAS 7 "Statement of Cash Flows":

- The Group shall use operating profit or loss as the starting point when presenting cash flows from operating activities under the indirect method.

- Interest and dividends received by the Group shall be classified as investing activities, while interest and dividends paid shall be classified as financing activities. However, if, after assessment, the Group has a specific main operating activity, it shall determine how to classify dividends received, interest received and interest paid in the statement of cash flows by referring to how it classifies dividend income, interest income and interest expense in the statement of profit or loss. The total of each of these cash flows shall be classified in a single category in the statement of cash flows.

The Group has decided not to apply IFRS 18 and consequential amendments earlier.

Except for the above impact, as of the date the consolidated financial statements were authorized for

issue, the Group is continuously assessing impacts of the above amended standards and interpretations on the Group's financial position and financial performance and will disclose the relevant impact when the assessment is completed.

c. The IFRS Accounting Standards in issue but not yet endorsed and issued into effect by the FSC

New, Amended and Revised Standards and Interpretations	Effective Date Announced by IASB (Note 1)
Amendments to IFRS 10 and IAS 28 "Sale or Contribution of Assets between an Investor and its Associate or Joint Venture"	To be determined by IASB
IFRS 20 "Regulatory Assets and Regulatory Liabilities"	January 1, 2029

Note 1: Unless stated otherwise, the above IFRS Accounting Standards are effective for annual reporting periods beginning on or after their respective effective dates.

Except for the above impact, as of the date the consolidated financial statements were authorized for issue, the Group is continuously assessing the other impacts of the above amended standards and interpretations on the Group's financial position and financial performance and will disclose the relevant impact when the assessment is completed.

4. SUMMARY OF MATERIAL ACCOUNTING POLICY INFORMATION

a. Statement of compliance

These interim consolidated financial statements have been prepared in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers and IAS 34 "Interim Financial Reporting" as endorsed and issued into effect by the FSC. Disclosure information included in these interim consolidated financial statements is less than the disclosure information required in a complete set of annual consolidated financial statements.

b. Basis of preparation

The consolidated financial statements have been prepared on the historical cost basis except for financial instruments which are measured at fair value.

The fair value measurements, which are grouped into Levels 1 to 3 based on the degree to which the fair value measurement inputs are observable and based on the significance of the inputs to the fair value measurement in its entirety, are described as follows:

1) Level 1 inputs are quoted prices (unadjusted) in active markets for identical assets or liabilities;

2) Level 2 inputs are inputs other than quoted prices included within Level 1 that are observable for an asset or liability, either directly (i.e., as prices) or indirectly (i.e., derived from prices); and

3) Level 3 inputs are unobservable inputs for an asset or liability.

c. Basis of consolidation

The consolidated financial statements incorporate the financial statements of the Company and the entities controlled by the Company (its subsidiaries). Income and expenses of subsidiaries acquired or disposed of during the period are included in the consolidated statement of comprehensive income from the effective dates of acquisitions up to the effective dates of disposals, as appropriate. When necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies into

line with those of the Group. All intra-group transactions, balances, income and expenses are eliminated in full upon consolidation. Total comprehensive income of subsidiaries is attributed to the owners of the Company and to the non-controlling interests even if this results in the non-controlling interests having a deficit balance.

Changes in the Group's ownership interests in subsidiaries that do not result in the Group losing control over the subsidiaries are accounted for as equity transactions. The carrying amounts of the interests of the Group and the non-controlling interests are adjusted to reflect the changes in their relative interests in the subsidiaries. Any difference between the amount by which the non-controlling interests are adjusted and the fair value of the consideration paid or received is recognized directly in equity and attributed to the owners of the Company.

See Note 14 and Table 5 of Note 39 for detailed information on subsidiaries (including percentages of ownership and main businesses).

d. Other material accounting policies

Except for the following, please refer to the consolidated financial statements for the year ended December 31, 2025.

1) Retirement benefits

Pension cost for an interim period is calculated on a year-to-date basis by using the actuarially determined pension cost rate at the end of the prior financial year, adjusted for significant market fluctuations since that time and for significant plan amendments, settlements, or other significant one-off events

2) Other long-term employee benefits

Other long-term employee benefits are accounted for in the same way as the accounting required for defined benefit plans except that remeasurement is recognized in profit or loss.

3) Income tax expense

Income tax expense represents the sum of the tax currently payable and deferred tax. Interim period income taxes are assessed on an annual basis and calculated by applying to an interim period's pre-tax income the tax rate that would be applicable to expected total annual earnings.

5. MATERIAL ACCOUNTING JUDGMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINTY

The material accounting judgments and key sources of estimation uncertainty are the same as those applicable to the consolidated financial statements for the year ended December 31, 2025.

6. CASH AND CASH EQUIVALENTS

	June 30, 2026	December 31, 2025	June 30, 2025
Cash on hand and working capital	$ 7,246	$ 6,640	$ 8,616
Checking accounts and demand deposits	1,255,575	1,035,437	921,061
Cash equivalents (investments with original maturities of 3 months or less)			
Time deposits	345,550	475,943	502,930

	$1,608,371	$1,518,020	$1,432,607

The market rate intervals of cash in the bank and bonds with repurchase agreements at the end of the period were as follows:

	June 30, 2026	December 31, 2025	June 30, 2025
Bank deposits	0%-3.7%	0%-1.65%	0.01%-4.25%

7. FINANCIAL INSTRUMENTS AT FAIR VALUE THROUGH PROFIT OR LOSS

	June 30, 2026	December 31, 2025	June 30, 2025
Financial assets mandatorily classified as at FVTPL			
Hybrid financial assets			
Structured deposits	$ 150,162	$ 120,017	$ -
Derivative financial assets (not under hedge accounting)			
Call options of convertible corporate bonds (Note 21)	100	400	-
Non-derivative financial assets			
Mutual fund beneficiary certificates	210,152	-	-
	$ 360,414	$ 120,417	$ -

The Group has entered into a structured time deposit agreement with a financial institution. This structured time deposit includes an embedded derivative that is not closely related to the host contract. Since the host contract of this hybrid contract is an asset within the scope of IFRS 9, the entire hybrid contract is required to be classified as measured at fair value through profit or loss.

8. FINANCIAL ASSETS AT AMORTIZED COST

	June 30, 2026	December 31, 2025	June 30, 2025
Current			
Time deposits with original maturities of more than 3 months	$ 377,955	$ 490,001	$ 274,580
Corporate bonds	19,721	19,721	-
	$ 397,676	$ 509,722	$ 274,580
Non-current			
Corporate bonds	$ -	$ -	$ 9,780

The ranges of interest rates for time deposits with original maturities of more than 3 months were approximately 1.29%-3.52%, 1.29%-3.55% and 1.29%-4.27% per annum as of June 30, 2026, December 31, 2025 and June 30, 2025, respectively.

The Group held 5-year corporate bonds issued by First Commercial Bank with a coupon rate of 0.52%

and an effective interest rate of 0.82%~1.28% as of June 30, 2026 and December 31, 2025.

Refer to Note 35 for information relating to investments in financial assets at amortized cost pledged as security.

9. CREDIT RISK MANAGEMENT FOR INVESTMENTS IN DEBT INSTRUMENTS

Investments in debt instruments classified as at amortized cost was as follows:

	June 30, 2026	December 31, 2025	June 30, 2025
Gross carrying amount	$ 397,676	$ 509,722	$ 284,360
Less: Allowance for impairment loss	-	-	-
Amortized cost	$ 397,676	$ 509,722	$ 284,360

The credit risk associated with the Group's bank deposits and other financial instruments is measured and monitored by the Group's finance department. Since the Group's counterparties and trading partners are reputable banks and financial institutions, as well as corporate organizations with investment-grade ratings or higher, there are no significant concerns regarding performance, and therefore, no significant credit risk.

Category	Description	Basis for Recognizing Expected Credit Losses (ECLs)	Expected Loss Rate	Gross Carrying Amount as of June 30 2026	Gross Carrying Amount as of December 31 2025	Gross Carrying Amount as of June 30 2025
Performing	The counterparty has a low risk of default and a strong capacity to meet contractual cash flows	12m ECLs	0%	$ 397,676	$ 509,722	$ 284,360

10. FINANCIAL ASSETS AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME

Investment in Equity Instruments at Fair Value Through Other Comprehensive Income (FVTOCI)

	June 30, 2026	December 31, 2025	June 30, 2025
Non-current			
Domestic investments			
Unlisted shares			
Ordinary shares - WiXtar Corporation	$ 3,750	$ 3,750	$ 3,750

These investments in equity instruments are held for medium- and long-term strategic purposes and expects to earn profits from the long-term investment. The management of the Group considers that it is inconsistent with the aforementioned long-term investment plan to include short-term fair value fluctuations

of these investments in profit or loss, and therefore elects to designate these investments as measured at fair value through other comprehensive income or loss.

11. ACCOUNTS RECEIVABLES

	June 30, 2026	December 31, 2025	June 30, 2025
Accounts receivables			
At amortized cost			
Gross carrying amount			
Non-related parties	$ 172,929	$ 178,850	$ 160,902
Related parties	1,176	1,250	1,143
Less: Allowance for impairment loss	(1,467)	(1,461)	(1,377)
	$ 172,638	$ 178,639	$ 160,668
Other receivables			
Proceeds receivable from disposal of equipment	$ 40	$ 72	$ 300
Interest receivable	485	496	692
Receivables from related parties (Note 34)	-	1	-
Others	5,632	6,065	5,889
	$ 6,157	$ 6,634	$ 6,881

The Group's sales of goods to franchise customers are based on the credit period agreed upon by both parties, and the credit period is 3 to 15 days. Cash (or EasyCard and mobile payment) is mostly used for collection and payment for food and beverage sales, except for accounts receivable from some locations in hypermarkets or department stores and those from conglomerate partnerships, which are mainly based on the credit period negotiated by both parties, with the credit period ranging from 30 to 90 days after the monthly cut-off date. In determining the recoverability of accounts receivable, the Group considers any changes in the credit quality of accounts receivable from the original credit date to the end of the reporting period.

To mitigate credit risk, the Group's management assigns a dedicated team to determine credit limits, approve credit facilities and other monitoring procedures to ensure that appropriate actions are taken to collect overdue receivables. In addition, the Group reviews the recoverable amounts of receivables on a case-by-case basis at the end of the reporting period to ensure that appropriate impairment losses have been provided for uncollectible receivables. Accordingly, the Company's management believes that the credit risk of the Group has been significantly reduced.

The Group measures the loss allowance for trade receivables at an amount equal to lifetime expected credit losses. The expected credit losses for the duration of the period are calculated using an allowance matrix, which takes into account the customer's past default history and current financial condition, the economic situation of the industry, as well as the GDP forecast and industry outlook. Since the credit loss history of the Group shows that there is no significant difference in the loss patterns of different customer groups, the allowance matrix does not further differentiate between customer groups and only uses the number of days to establish accounts receivable to determine the expected credit loss rate.

If there is evidence that the counterparty is in serious financial difficulty and the Group cannot reasonably expect to recover the amount, for example, if the counterparty is in liquidation, the Group directly writes off the related receivables, but continues the recovery activities, and the amount recovered from the recovery is recognized in profit or loss.

The following table details the loss allowance of accounts receivables and notes receivables based on the Group's allowance matrix.

June 30, 2026

	0 to 30 Days	31 to 60 Days	61 to 90 Days	91 to 120 Days	Over 120 Days	Total
Expected credit loss rate	0.00%-0.04%	0.11%-10.71%	8.00%-30.92%	16.00%-47.01%	100%	
Gross carrying amount	$ 170,416	$ 2,121	$ 1,247	$ -	$ 321	$ 174,105
Loss allowance (Lifetime ECLs)	(793)	(107)	(246)	-	(321)	(1,467)
Amortized cost	$ 169,623	$ 2,014	$ 1,001	$ -	$ -	$ 172,638

December 31, 2025

	0 to 30 Days	31 to 60 Days	61 to 90 Days	91 to 120 Days	Over 120 Days	Total
Expected credit loss rate	0.02%-0.06%	0.33%-4.69%	15.97%-19.69%	29.25%-40.67%	100%	
Gross carrying amount	$ 174,506	$ 5,151	$ 116	$ -	$ 327	$ 180,100
Loss allowance (Lifetime ECLs)	(983)	(128)	(23)	-	(327)	(1,461)
Amortized cost	$ 173,523	$ 5,023	$ 93	$ -	$ -	$ 178,639

June 30, 2025

	0 to 30 Days	31 to 60 Days	61 to 90 Days	91 to 120 Days	Over 120 Days	Total
Expected credit loss rate	0.01%-0.05%	0.09%-8.39%	5.33%-25.12%	16.00%-47.14%	100%	
Gross carrying amount	$ 159,453	$ 589	$ 1,316	$ 51	$ 636	$ 162,045
Loss allowance (Lifetime ECLs)	(581)	(18)	(137)	(5)	(636)	(1,377)
Amortized cost	$ 158,872	$ 571	$ 1,179	$ 46	$ -	$ 160,668

The above is an aging analysis based on the number of days since initial recognition of the accounts receivables.

The movements of the loss allowance of accounts receivables were as follows:

	For the six months ended June 30	
	2026	2025
Balance on January 1	$ 1,461	$ 1,511
Foreign exchange gains and losses	6	(134)
Balance on June 30	$ 1,467	$ 1,377

12. LEASE RECEIVABLES

	June 30, 2026	December 31, 2025	June 30, 2025
Current	$ 18,397	$ 26,004	$ 25,364
Non-current	37,101	46,459	25,715
	$ 55,498	$ 72,463	$ 51,079

	June 30, 2026	December 31, 2025	June 30, 2025
Undiscounted lease payments			
Year 1	$ 20,062	$ 28,144	$ 26,412
Year 2	14,272	17,517	13,524
Year 3	10,268	12,718	7,959
Year 4	9,923	9,679	2,387
Year 5	2,638	6,545	1,519
Year 6 onwards	-	-	325
	57,163	74,603	52,126
Unrealized interest income receivable	(1,665)	(2,140)	(1,047)
Lease receivables	$ 55,498	$ 72,463	$ 51,079

The Group has been subleasing its leased retail stores to franchisees with annual fixed lease payments. All these leases are denominated in New Taiwan dollars. As the Group subleases the retail stores for all the remaining lease term of the main lease to the sublessee, the subleases are classified as lease receivables.

The interest rates inherent in leases are fixed at the contract dates for the entire term of the lease. The ranges of interest rates inherent in the finance leases were approximately 1.42%-1.75% per annum as of June 30, 2026, December 31, 2025 and June 30, 2025, respectively.

The Group measures the loss allowance for finance lease receivables at an amount equal to lifetime ECLs. As of the end of the reporting period, no finance lease receivable was past due. The Group has not recognized a loss allowance for lease receivables after taking into consideration the historical default experience and the future prospects of the industries in which the lessees operate, together with the value of collateral held over these lease receivables.

Lease commitments (the Group as a lessor) with lease terms commencing after the the end of the reporting period refer to Note 16.

13. INVENTORIES

	June 30, 2026	December 31, 2025	June 30, 2025
Raw materials	$ 392,052	$ 340,281	$ 328,792
Semi-finished goods	17,238	17,624	10,755
Finished goods	30,938	37,026	28,046
Merchandise inventory	45,691	50,781	36,884
	$ 485,919	$ 445,712	$ 404,477

The nature of cost of goods sold is as follows:

	For the three months ended June 30		For the six months ended June 30	
	2026	2025	2026	2025
Cost of inventories sold	$ 1,501,978	$ 1,342,257	$ 2,940,028	$ 2,752,241
Inventory write-downs	-	6,059	-	6,059
	$ 1,501,978	$ 1,348,316	$ 2,940,028	$ 2,758,300

14. SUBSIDIARIES

a. Subsidiaries included in consolidated financial statements

Entities covered by the consolidated financial statements were as follows:

Investor	Investee	Nature of activities	Proportion of Ownership			Remarks
			June 30, 2026	December 31, 2025	June 30, 2025	
Bafang Yunji International Co., Ltd.	Bafang Yunji (Samoa) International Co., Ltd.	Holding	100%	100%	100%	-
Bafang Yunji International Co., Ltd.	Bafang Yunji International (USA) Limited	Holding	100%	100%	100%	1)
Bafang Yunji International Co., Ltd.	Bafang Co., Ltd.	Food and beverage manufacturing and sales	100%	100%	100%	-
Bafang Yunji International Co., Ltd.	Bafang Yunji International Company Limited	Food and beverage manufacturing and sales	100%	100%	100%	-
Bafang Yunji International Co., Ltd.	Bafang Yunji Restaurant Co., Ltd.	Food and beverage manufacturing and sales	100%	100%	100%	-
Bafang Yunji International Co., Ltd.	Dante Coffee & Foods Co., Ltd.	Food and beverage manufacturing and sales	100%	100%	100%	-
Bafang Yunji International Co., Ltd.	Ji Yuan Foods Co., Ltd.	Livestock products manufacturing and sales	100%	100%	100%	-
Bafang Yunji International Co., Ltd.	Fang Sin International Trading Co., Ltd.	International Trade	100%	100%	100%	-
Bafang Yunji (Samoa) International Co., Ltd.	Bafang Yunji Restaurant Group Limited	Holding	-	-	-	5)
Bafang Yunji International Company Limited	Jiashide Limited	Holding	100%	100%	100%	-
Bafang Yunji International Company Limited	Hsin Chiao International Co. Limited	Transportation	100%	100%	100%	-
Bafang Yunji International Company Limited	Long Success (HK) Industrial Limited	Food and beverage manufacturing and sales	100%	100%	100%	-
Bafang Yunji International Company Limited	Rich Grade Limited	Food and beverage manufacturing and sales	100%	100%	100%	-
Bafang Yunji International Company Limited	Wise Success Enterprise Limited	Transportation	100%	100%	100%	-
Jiashide Limited	Heng Yue Feng Trading (Shenzhen) Co., Ltd.	Food wholesale	100%	100%	100%	-
Bafang Yunji International (USA) Limited	Bafang Yunji Foods LLC	Food and beverage manufacturing and sales	60%	60%	60%	-
Bafang Yunji International (USA) Limited	Bafang Yunji Franchise (USA) Co.	Franchising	100%	100%	100%	-
Bafang Yunji International (USA) Limited	Bafang Yunji Restaurant Group LLC	Food and beverage manufacturing and sales	60%	60%	60%	-
Bafang Yunji International (USA) Limited	Bafang Yunji Texas Corporation	Holding	60%	60%	60%	2)
Bafang Yunji Texas Corporation	Bafang Yunji Foods Texas LLC	Food and beverage manufacturing and sales	100%	100%	100%	3)
Bafang Yunji Texas Corporation	Bafang Yunji Restaurant Group Texas LLC	Food and beverage manufacturing and sales	100%	100%	100%	4)

Remarks:

1) The Group made capital injections of $124,212 thousand (USD 3,900 thousand), $127,523 thousand (USD 4,000 thousand) and $225,560 thousand (USD 7,200 thousand) in Bafang Yunji International (USA) Limited in April and March 2026, and year of 2025, respectively.

2) The Group made capital injections of US$3,900 thousand and US$6,600 thousand into Bafang Yunji Texas Corporation in April 2026 and year of 2025, respectively.

3) The Group made capital injections of US$2,500 thousand and US$6,000 thousand into Bafang Yunji Foods Texas LLC in April 2026 and year of 2025, respectively.

4) The Group established Bafang Yunji Restaurant Group Texas LLC in March 2025 with shareholding ratio of 100%, and made capital injections of US$4,000 thousand and US$4,500 thousand in April 2026 and March 2025, respectively.

5) Bafang Yunji Restaurant Group Limited was dissolved in February 2025.

6) Bafang Yunji Restaurant Group (USA) Co. was established in July 2026. As of the date the consolidated financial statements were authorized for issue, it had not completed the capital injection.

For information on the principal place of business and the country of incorporation, please refer to Note 39, Table 5, "Information on investees, locations, etc." and Table 6, "Information on investment in Mainland China".

The income and other comprehensive income of subsidiaries included in consolidated financial statements were recognized based on the subsidiaries' financial statements reviewed by CPA for the same reporting periods.

b. Subsidiaries excluded from the consolidated financial statements: None.

c. Details of subsidiaries that have material non-controlling interests

Name of subsidiary	Principal place of business	Percentage of equity and voting rights held by non-controlling interests		
		June 30, 2026	December 31, 2025	June 30, 2025
Bafang Yunji Foods LLC	United States	40.00%	40.00%	40.00%
Bafang Yunji Restaurant Group LLC	United States	40.00%	40.00%	40.00%
Bafang Yunji Texas Corporation	United States	40.00%	40.00%	40.00%

Name of Subsidiary	Accumulated Non-controlling Interests		
	June 30, 2026	December 31, 2025	June 30, 2025
Bafang Yunji Foods LLC	$ 22,249	$ 27,932	$ 17,551
Bafang Yunji Restaurant Group LLC	45,652	50,825	48,452
Bafang Yunji Texas Corporation	342,371	274,963	195,971
	$ 410,272	$ 353,720	$ 261,974

Name of Subsidiary	Profit (Loss) Allocated to Non-controlling Interests			
	For the three months ended June 30		For the six months ended June 30	
	2026	2025	2026	2025
Bafang Yunji Foods LLC	$ (2,820)	$ (4,694)	$ (6,011)	$ (9,264)
Bafang Yunji Restaurant Group LLC	(4,415)	(2,158)	(5,809)	(2,119)
Bafang Yunji Texas Corporation	(9,539)	(1,969)	(18,935)	(3,077)
	$ (16,774)	$ (8,821)	$ (30,755)	$ (14,460)

15. PROPERTY, PLANT AND EQUIPMENT

	June 30, 2026	December 31, 2025	June 30, 2025
Assets used by the Group	$ 3,330,631	$ 3,292,432	$ 3,007,479

	Land	Building and construction	Transportation equipment	Food and beverage equipment	Office equipment	Machinery equipment	Leasehold improvements	Other equipment	Unfinished construction and equipment pending acceptance	Total
Cost										
Balance at January 1, 2026	$ 868,826	$ 1,062,047	$ 102,337	$ 347,132	$ 26,529	$ 911,069	$ 701,313	$ 179,559	$ 580,032	$ 4,778,844
Addition	-	802	4,787	13,632	105	14,526	45,025	13,977	87,613	180,467
Reclassification	-	995	9,053	506	-	16,971	20,824	9,588	(46,958)	10,979
Disposal	-	-	(5,980)	(26,446)	(1,064)	(7,955)	(19,245)	(324)	(2,325)	(63,339)
Net exchange differences	(208)	4,213	383	1,246	173	742	5,376	472	2,150	14,547
Balance at June 30, 2026	$ 868,618	$ 1,068,057	$ 110,580	$ 336,070	$ 25,743	$ 935,353	$ 753,293	$ 203,272	$ 620,512	$ 4,921,498
Accumulated depreciation and impairment										
Balance at January 1, 2026	$ -	$ 223,503	$ 54,407	$ 245,896	$ 21,787	$ 554,260	$ 293,995	$ 92,564	$ -	$ 1,486,412
Depreciation expenses	-	19,135	6,851	21,740	1,373	47,035	33,453	10,570	-	140,157
Disposal	-	-	(2,042)	(19,824)	(1,285)	(1,779)	(13,996)	(324)	-	(39,250)
Net exchange differences	-	321	193	784	140	574	1,509	27	-	3,548
Balance at June 30, 2026	$ -	$ 242,959	$ 59,409	$ 248,596	$ 22,015	$ 600,090	$ 314,961	$ 102,837	$ -	$ 1,590,867
Net amount at January 1, 2026	$ 868,826	$ 838,544	$ 47,930	$ 101,236	$ 4,742	$ 356,809	$ 407,318	$ 86,995	$ 580,032	$ 3,292,432
Net amount at June 30, 2026	$ 868,618	$ 825,098	$ 51,171	$ 87,474	$ 3,728	$ 335,263	$ 438,332	$ 100,435	$ 620,512	$ 3,330,631

	Land	Building and construction	Transportation equipment	Food and beverage equipment	Office equipment	Machinery equipment	Leasehold improvements	Other equipment	Unfinished construction and equipment pending acceptance	Total
Cost										
Balance at January 1, 2025	$ 851,665	$ 1,008,118	$ 86,586	$ 379,095	$ 28,132	$ 751,178	$ 648,732	$ 120,811	$ 320,656	$ 4,194,973
Addition	-	64,022	7,970	17,537	492	7,307	31,670	27,537	189,743	346,278
Reclassification	-	123	-	1,291	(1,242)	15,836	41,859	5,173	(9,356)	53,684
Disposal	-	-	(258)	(24,764)	(119)	(158)	(36,149)	(251)	(63)	(61,762)
Net exchange differences	(6,311)	(61,675)	(3,183)	(16,229)	(2,400)	(10,709)	(44,849)	(222)	(4,788)	(150,366)
Balance at June 30, 2025	$ 845,354	$ 1,010,588	$ 91,115	$ 356,930	$ 24,863	$ 763,454	$ 641,263	$ 153,048	$ 496,192	$ 4,382,807
Accumulated depreciation and impairment										
Balance at January 1, 2025	$ -	$ 189,612	$ 47,321	$ 242,622	$ 19,392	$ 465,506	$ 275,299	$ 76,017	$ -	$ 1,315,769
Depreciation expenses	-	16,133	6,382	26,722	1,906	45,650	33,658	7,708	-	138,159
Disposal	-	-	(258)	(12,593)	(38)	(62)	(17,700)	(251)	-	(30,902)
Net exchange differences	-	(6,722)	(2,315)	(11,352)	(1,755)	(8,513)	(16,848)	(193)	-	(47,698)
Balance at June 30, 2025	$ -	$ 199,023	$ 51,130	$ 245,399	$ 19,505	$ 502,581	$ 274,409	$ 83,281	$ -	$ 1,375,328
Net amount at June 30, 2025	$ 845,354	$ 811,565	$ 39,985	$ 111,531	$ 5,358	$ 260,873	$ 366,854	$ 69,767	$ 496,192	$ 3,007,479

The Group's property, plant and equipment are depreciated on a straight-line basis over the following useful lives:

Building and construction	
Plant main building	22 to 50 years
Wastewater treatment equipment	10 years
Renovation construction	4 to 5 years
Transportation equipment	1 to 7 years
Food and beverage equipment	1 to 10 years
Office equipment	1 to 10 years
Machinery equipment	1 to 7 years
Leasehold improvements	2 to 20 years
Other equipment	3 to 15 years

The Group holds land in the name of the Company’s Chairman, as the Group is prohibited from holding legal title to the land due to statutory restrictions and other factors. The Group has executed a real estate nominee registration agreement, stipulating that, without consent, the registered owner may not transfer or encumber the property, as an appropriate safeguard measure.

For property, plant and equipment pledged as collateral for loans by the Group, please refer to Note 35.

16. LEASE AGREEMENTS

a. Right-of-use assets

	June 30, 2026	December 31, 2025	June 30, 2025
Carrying amount			
Land	$ 127,197	$ 131,393	$ 135,589
Buildings	1,243,624	1,261,837	1,118,726
Transportation equipment	141,923	140,753	104,788
	$ 1,512,744	$ 1,533,983	$ 1,359,103

	For the three months ended June 30		For the six months ended June 30	
	2026	2025	2026	2025
Addition of right-of-use assets				
Buildings			$ 196,293	$ 242,115
Transportation equipment			30,457	25,278
			$ 226,750	$ 267,393
Depreciation expenses of right-of-use assets				
Land	$ 2,097	$ 2,098	$ 4,196	$ 4,196
Buildings	100,495	104,179	202,880	214,710
Transportation equipment	14,641	13,626	28,679	27,007
	$ 117,233	$ 119,903	$ 235,755	$ 245,913

Except for the aforementioned addition and recognized depreciation, the Group did not have significant sublease or impairment of right-of-use assets during the six months ended June 30, 2026 and 2025.

b. Lease liabilities

	June 30, 2026	December 31, 2025	June 30, 2025
Carrying amount			
Current	$ 373,322	$ 415,115	$ 362,000
Non-current	$ 1,241,027	$ 1,227,900	$ 1,069,286

Range of discount rates for lease liabilities was as follows:

	June 30, 2026	December 31, 2025	June 30, 2025
Land	1.42%	1.42%	1.42%
Building and construction	1.42%-6.60%	1.42%-6.60%	1.25%-6.60%
Transportation equipment	1.25%-1.75%	1.25%-1.75%	1.25%-1.75%

c. Material leasing activities and terms

The Group leases certain land and buildings for the use of plants and offices with lease terms of 1 to 20 years. The Group does not have bargain purchase options to acquire the leasehold land and buildings at the end of the lease terms.

d. Subleases

The total future lease payments to be received under operating subleases were as follows:

	June 30, 2026	December 31, 2025	June 30, 2025
Year 1	$ 2,344	$ 3,097	$ 2,025
Year 2	2,029	2,029	1,230
Year 3	1,679	1,979	600
Year 4	-	714	250
	$ 6,052	$ 7,819	$ 4,105

e. Other lease information

	For the three months ended June 30		For the six months ended June 30	
	2026	2025	2026	2025
Expenses relating to short-term leases and low-value asset leases	$ 8,806	$ 3,260	$ 14,098	$ 6,408
Expenses relating to variable lease payments not included in the measurement of lease liabilities	$ 1,843	$ 1,195	$ 4,259	$ 3,561
Total cash outflow for leases	$ 144,981	$ 138,521	$ 287,094	$ 286,578

The Group's leases of certain office equipment and buildings are qualified as low-value asset leases and short-term leases. The Group has elected to apply the recognition exemption and thus, did not recognize right-of-use assets and lease liabilities for these leases.

All lease commitments (the Group as a lessee) with lease terms commencing after the the end of the reporting period are as follows:

	June 30, 2026	December 31, 2025	June 30, 2025
Lease commitments	$ 203,453	$ 325,035	$ 328,451

17. OTHER INTANGIBLE ASSETS

	June 30, 2026	December 31, 2025	June 30, 2025
Computer software	$ 21,137	$ 24,245	$ 14,883

Except for amortization recognized, the Group did not have significant addition, disposal, or impairment of other intangible assets during the six months ended June 30, 2026 and 2025. Other intangible assets are amortized on a straight-line basis over their estimated useful lives as follows:

Computer software	5-10 years

18. PREPAYMENTS

	June 30, 2026	December 31, 2025	June 30, 2025
Prepayments for purchases	$ 30,690	$ 90,147	$ 42,620
Others	59,842	60,261	58,612
	$ 90,532	$ 150,408	$ 101,232

19. OTHER ASSETS

	June 30, 2026	December 31, 2025	June 30, 2025
Current			
Other financial assets - current	$ 36,903	$ 36,438	$ 48,742
Others	2,068	3,392	1,296
	$ 38,971	$ 39,830	$ 50,038

The Group's other financial are mainly assets-restricted bank demand deposits and please refer to Note 35 for information about assets pledged as collateral.

20. BORROWINGS

a. Short-term borrowings

	June 30, 2026	December 31, 2025	June 30, 2025
Unsecured borrowings	$ 111,475	$ 110,005	$ 702,200

As of June 30, 2026, December 31, 2025 and June 30, 2025, effective interest rates were 5.49% to 5.94%, 5.62% to 6.78% and 1.89% to 6.57% per annum, respectively.

b. Long-term borrowings

	Loan Term	Significant Terms	Effective Interest Rate	June 30, 2026	December 31, 2025	June 30, 2025
Secured borrowings						
Hang Seng Bank Limited						
Mortgage borrowings	2021.6.1-2031.6.1	The total borrowing amount of HK$10,600 thousand is repayable in 120 equal monthly installments of principal. Interest is accrued and paid on a monthly basis.	2.50%	$ 23,058	$ 25,069	$ 25,111
TOYOTA FINANCE						
Mortgage borrowings	2022.3.23-2027.12.24	The total borrowing amount of US$65 thousand is repayable in 60 installments of principal. Interest is accrued and paid on a monthly basis.	1.99%-3.9%	471	677	826
Bank SinoPac						
Bank loans	2025.10.15-2028.10.15	The total loan amount is USD 1,000 thousand. From the borrowing date, repayment of principal shall be waived for the first 18 months. Beginning from the 19th month, the principal shall be repaid in seven installments, with each installment period being three months. The expiration date of the grace period shall be deemed the due date of the first installment. For the first through sixth installments, 6.5% of the principal shall be repaid in each installment, and the remaining outstanding principal shall be fully repaid in the seventh installment.	5.70%	31,850	31,430	-
First Commercial Bank						
Bank loans	2025.6.11 - 2028.6.11	The total borrowing amount is US$500 thousand. From the borrowing date, repayment of principal is waived for the first six months. Thereafter, the principal shall be repaid in 30 installments, with interest accrued and payable on a monthly basis.	5.55%	12,740	15,715	14,650
Bank loans	2025.8.13 - 2028.8.13	The total borrowing amount is US$600 thousand. From the borrowing date, repayment of principal is waived for the first six months. Thereafter, the principal shall be repaid in 36 installments, with interest accrued and payable on a monthly basis.	5.55%	16,562	18,858	-
Bank loans	2026.2.11 - 2029.2.11	The total borrowing amount is US$900 thousand. From the borrowing date, repayment of principal is waived for the first six months. Thereafter, the principal shall be repaid in 30 installments, with interest accrued and payable on a monthly basis.	5.55%	28,665	-	-
Less: Current portion				(30,400)	(17,307)	(7,227)
Long-term borrowings				$ 82,946	$ 74,442	$ 33,360

The bank borrowings are secured by the Group's freehold land and buildings. Refer to Note 35.

21. BONDS PAYABLE

	June 30, 2026	December 31, 2025	June 30, 2025
Unsecured domestic convertible bonds	$ 951,524	$ 941,301	$ -
Less: Current portion	-	-	-
	$ 951,524	$ 941,301	$ -

First Unsecured Domestic Convertible Bonds

The Company issued its First Domestic Unsecured Convertible Bonds on October 9, 2025. The total face value of the issuance was NT$800,000 thousand, with a par value of NT$100 thousand per bond, issued at 100.5% of par value, for a total of 8 thousand bonds issued. The bonds carry a coupon rate of 0% per annum and have a term of three years, maturing on October 9, 2028.

The redemption and conversion terms are as follows:

1. The Company may, the day after three months of the issuance date until the day preceding the maturity date, redeem the bonds at par value in accordance with the terms and conditions agreed upon.

2. Bondholders may, from the day after three months of the issuance date until the maturity date, request conversion of the bonds into the Company's common shares.

3. The conversion price of the convertible bonds was determined with September 30, 2025 as the pricing reference date. The benchmark price was selected from the simple arithmetic average of the closing prices of the Company's common shares for one, three, or five business days prior to (excluding) the reference date, whichever was chosen. The conversion price was then determined by multiplying the benchmark price by a conversion premium rate of 105.21%. Pursuant to the foregoing method, the benchmark price determined based on the simple arithmetic average of the closing price of the Company's common shares for the one business day prior to the reference date was NT$201.5 per share, resulting in a conversion price of $212 per share.

4. The conversion price of the Company's First Domestic Unsecured Convertible Bonds was adjusted in accordance with the anti-dilution provisions under the conversion terms. Effective December 31, 2025 and July 9, 2026, the conversion price was adjusted to $207.6 and $199.3, respectively.

The convertible bonds contain both liability and equity components. The equity component was presented in equity under the heading of capital surplus - options. The effective interest rate of the liability component was 2.19% per annum on initial recognition.

Proceeds from issuance (less transaction costs of $4,166 thousand)	$ 799,834
Equity component (less transaction costs allocated to the equity component of $250 thousand)	(50,310)
Call option value	240
Liability component at the date of issue (less transaction costs allocated to the liability component of $3,916 thousand)	749,764
Interest charged at an effective interest rate of 2.19%	3,385
Liability component on December 31, 2025	753,149
Interest charged at an effective interest rate of 2.19%	8,184
Liability component on June 30, 2026	$ 761,333

Second Unsecured Domestic Convertible Bonds

The Company issued its Second Domestic Unsecured Convertible Bonds on October 20, 2025. The total face value of the issuance was NT$200,000 thousand, with a par value of NT$100 thousand per bond. The bonds were publicly offered through a competitive auction process and issued at 107.18% of face value, with a total issuance of 2 thousand bonds. The annual coupon rate is 0%, the term of the bonds is three years, and the maturity date is October 20, 2028.

The redemption and conversion terms are as follows:

1. The Company may, the day after three months of the issuance date until the day preceding the maturity date, redeem the bonds at par value in accordance with the terms and conditions agreed upon.

2. Bondholders may, from the day after three months of the issuance date until the maturity date, request conversion of the bonds into the Company's common shares.

3. The conversion price of the convertible bonds was determined with September 25, 2025 as the pricing reference date. The benchmark price was selected from the simple arithmetic average of the closing prices of the Company's common shares for one, three, or five business days prior to (excluding) the reference date, whichever was chosen. The conversion price was then determined by multiplying the benchmark price by a conversion premium rate of 102.44%. Pursuant to the foregoing method, the benchmark price determined based on the simple arithmetic average of the closing price of the Company's common shares for the one business day prior to the reference date was $205 per share, resulting in a conversion price of $210 per share.

4. The conversion price of the Company's Second Domestic Unsecured Convertible Bonds was adjusted in accordance with the anti-dilution provisions under the conversion terms. Effective December 31, 2025 and July 9, 2026, the conversion price was adjusted to $205.6 and $197.3, respectively.

The convertible bonds contain both liability and equity components. The equity component was presented in equity under the heading of capital surplus - options. The effective interest rate of the liability component was 2.18% per annum on initial recognition.

Proceeds from issuance (less transaction costs of $1,071 thousand)	$ 213,283
Equity component (less transaction costs allocated to the equity component of $128 thousand)	(25,865)
Call option value	60
Liability component at the date of issue (less transaction costs allocated to the liability component of $943 thousand)	187,478
Interest charged at an effective interest rate of 2.18%	674
Liability component on December 31, 2025	188,152
Interest charged at an effective interest rate of 2.18%	2,039
Liability component on June 30, 2026	$ 190,191

22. NOTES PAYABLE AND ACCOUNTS PAYABLES

	June 30, 2026	December 31, 2025	June 30, 2025
Notes payable			
Operating	$ 618	$ 1,422	$ 3,317

Accounts payables			
Operating	$ 287,390	$ 286,682	$ 239,855

The average credit period for accounts payables ranges from 7 to 30 days. The Group has financial risk management policies in place to ensure that all payables are paid within the pre-agreed credit terms.

23. OTHER LIABILITIES

	June 30, 2026	December 31, 2025	June 30, 2025
Current			
Other payables			
Non-related parties			
Payables for salaries or bonuses	$ 167,667	$ 245,391	$ 181,969
Payables for business tax	37,709	33,826	28,460
Remuneration payable to employees and directors	32,500	22,000	27,000
Payables for purchases of equipment	9,427	17,807	13,951
Payables for dividends	499,836	266,579	400,169
Others	155,694	126,305	133,733
	902,833	711,908	785,282
Related parties (Note 34)			
Others	80	80	80
	$ 902,913	$ 711,988	$ 785,362
Other liabilities			
Financial liabilities	$ 33,170	$ 33,537	$ 34,090
Others	26,165	19,494	20,693
	$ 59,335	$ 53,031	$ 54,783

24. PROVISIONS

	June 30, 2026	December 31, 2025	June 30, 2025
Non-current			
Asset retirement obligation	$ 5,099	$ 5,807	$ 5,759

The Group recognizes an asset retirement obligation related to leased stores, where the lease agreement requires the restoration of the leased asset to its original condition at the start of the lease, with estimated costs to be incurred upon termination of the lease.

25. RETIREMENT BENEFIT PLANS

a. Defined contribution plan

The Group, including the Company, its subsidiary Bafang Yunji Restaurant Co., Ltd., and Dante Coffee & Foods Co., Ltd. adopted a pension plan under the Labor Pension Act (LPA), which is a state-managed defined contribution plan. Under the LPA, the Group makes monthly contributions to employees' individual pension accounts at 6% of monthly salaries and wages.

Employees of the Group's subsidiary in Hong Kong participate in a government-managed retirement benefit plan. The subsidiary is required to contribute a specified percentage of salary costs to the plan. The Group's obligation under this government-managed plan is limited to making the required contributions.

Bafang Yunji Restaurant Group LLC, Bafang Yunji Foods LLC, Bafang Yunji Foods Texas LLC and Bafang Yunji Restaurant Group Texas LLC have not established any retirement benefit plans. In addition, no retirement benefit plans are applicable to Ji Yuan Foods Co., Ltd., Fang Sin International Trading Co., Ltd., Bafang Yunji (Samoa) International Co., Ltd., Bafang Yunji International (USA) Limited, Bafang Yunji Franchise (USA) Co., Bafang Yunji Texas Corporation, and Bafang Co., Ltd., as there have been no full-time employees.

b. Defined benefit plan

Employee benefit expenses in respect of the Group's defined benefit retirement plans for the three months and six months ended June 30, 2026 and 2025 were calculated using the projected pension cost stated in actuarial reports as of December 31, 2025 and 2024.

26. EQUITY

a. Share capital

Ordinary shares

	June 30, 2026	December 31, 2025	June 30, 2025
Shares authorized (in thousands of shares)	100,000	100,000	100,000
Shares authorized	$ 1,000,000	$ 1,000,000	$ 1,000,000
Shares issued and fully paid (in thousands of shares)	66,645	66,645	66,645
Shares issued and fully paid	$ 666,448	$ 666,448	$ 666,448

Each issued ordinary share has a par value of $10 and entitles the holder to one vote and the right to receive dividends.

The shareholders resolved stock dividends of $33,322 thousand to paid-in capital, the number of common stocks of a par value of $10 are 3,332 thousand at the shareholders' meeting on June 11, 2026. Total capital stock will be increased to $699,770 thousand and the record date is September 1, 2026.

b. Capital surplus

	June 30, 2026	December 31, 2025	June 30, 2025
May be used to offset a deficit, distributed as cash dividends, or transferred to share capital (Note)			
Issuance of ordinary shares	$ 977,557	$ 977,557	$ 977,557
The difference between the consideration paid and the carrying amount of the subsidiaries' net assets during actual acquisition	56	56	56
Employee share-based payment compensation costs	22,735	22,735	22,735
Forfeited employee share options	132	132	132
	1,000,480	1,000,480	1,000,480
May only be used to offset a deficit			
Gains from the exercise of disgorgement rights by the Company	236	99	99
May not be used for any purpose			
Conversion options of convertible corporate bonds	76,175	76,175	-
	$ 1,076,891	$ 1,076,754	$ 1,000,579

Note: Such capital surplus may be used to offset a deficit; in addition, when the Company has no deficit, such capital surplus may be distributed as cash dividends or transferred to share capital (limited to a certain percentage of the Company's capital surplus and to once a year).

c. Retained earnings and dividends policy

Under the dividends policy as set forth in the Company's Articles of Incorporation (the "Articles"), the proposal for profit distribution or offsetting of losses should be made at the end of each six months of the fiscal year. Cash dividends shall be resolved by the board of directors, while stock dividends shall require approval by the shareholders' meeting.

Under the dividends policy as set forth in the Articles, where the Company made a profit each six months of the fiscal year, the profit shall be first utilized for paying taxes, offsetting losses of previous years, setting aside as legal reserve 10% of the remaining profit, and setting aside or reversing a special reserve. However, once the legal reserve has accumulated to the amount of the Company's paid-in capital, no further allocation is required. Any remaining profit together with any undistributed retained earnings

each six months of the fiscal year shall be used by the Company's board of directors as the basis for proposing a distribution plan, which should be resolved in the shareholders' meeting for the distribution of dividends and bonuses to shareholders. Under the dividends policy as set forth in the Articles, the Company's board of directors is authorized, with the attendance of at least two-thirds of all directors and the approval of a majority of the directors present, to distribute dividends and bonuses, or all or part of the legal reserve and capital surplus as prescribed under Article 241, Paragraph 1 of the Company Act, in the form of cash. Such distribution shall be reported to the shareholders' meeting. However, if the distribution is to be made in the form of new shares, it shall be subject to a resolution adopted at the shareholders' meeting.

The remuneration distribution policy for employees and directors as stipulated in the Company's Articles of Incorporation is disclosed in Note 28(g), compensation of employees and remuneration of directors.

As the Company is in a growth stage, its dividend policy takes into consideration the stage of business development, profitability, the Company's medium- and long-term financial and capital planning, as well as the interests of shareholders. Dividends may be distributed in the form of cash or stock, as deemed appropriate. Each year, no less than 20% of distributable earnings shall be allocated for shareholder dividends, of which the cash portion shall not be less than 20% of the total dividends distributed.

An appropriation of earnings to a legal reserve shall be made until the legal reserve equals the Company's paid-in capital. The legal reserve may be used to offset deficits. If the Company has no deficit and the legal reserve has exceeded 25% of the Company's paid-in capital, the excess may be transferred to capital or distributed in cash.

In accordance with applicable laws and regulations, when distributing earnings, the Company is required to appropriate a special reserve from retained earnings for the net deductions under other equity items. If the amount of such deductions decreases in subsequent periods, the corresponding portion of the special reserve may be reversed and transferred back to unappropriated earnings. When a special reserve is appropriated for cumulative net debit balance reserves from prior period, the special reserve is only appropriated from the prior unappropriated earnings.

The appropriation of the quarterly earnings in 2026 and 2025, which were resolved by the Company's board of directors, were as follows:

	January 1 to June 30, 2026	July 1 to December 31, 2025	January 1 to June 30, 2025
Date of board resolution	August 12, 2026	March 10, 2026	August 12, 2025
Legal reserve	$ 46,699	$ 46,856	$ 38,754
Appropriation (reversal) of special reserve	$ -	$ (62,002)	$ 62,002
Cash dividends	$ 346,553	$ 499,836	$ 266,579
Stock dividends	$ -	$ 33,322	$ -
Cash dividends per share (NT$)	$ 5.20	$ 7.50	$ 4.00
Stock dividends per share (NT$)	$ -	$ 0.50	$ -

The above appropriation for cash dividends has been resolved by the Company's board of directors; the other proposed appropriations were resolved by the shareholders in their meetings on June 11, 2026.

d. Exchange differences on the translation of the financial statements of foreign operations

	For the six months ended June 30	
	2026	2025
Balance at the beginning of the period	$ 7,727	$ 47,148
Exchange differences on the translation of the financial statements of foreign operations	10,219	(136,436)
Income tax related to translation of the financial statements of foreign operations	(2,044)	27,286
Balance at the end of the period	$ 15,902	$ (62,002)

The translation differences arising from the translation of the financial statements of foreign operations from their functional currencies to the Company's presentation currency (i.e., NTD) are recognized directly in the exchange differences on translation of financial statements of foreign operations under other comprehensive income.

e. Non-controlling interests

	For the six months ended June 30	
	2026	2025
Balance at the beginning of the period	$ 353,720	$ 242,444
Share in loss for the period	(30,755)	(14,460)
Other comprehensive income during the period		
Exchange differences on translating the financial statements of foreign entities	5,199	(31,560)
Non-controlling interests arising from cash capital increase by subsidiaries	82,108	65,550
Balance at the end of the period	$ 410,272	$ 261,974

27. REVENUE

	For the three months ended June 30		For the six months ended June 30	
	2026	2025	2026	2025
Revenue from contracts with customers				
Revenue from the sale of goods	$ 1,595,271	$ 1,398,036	$ 3,121,245	$ 2,790,140
Revenue from the sale of food and beverages	731,570	704,182	1,462,064	1,484,196
Licensing revenue	6,507	5,549	12,867	10,780
	$ 2,333,348	$ 2,107,767	$ 4,596,176	$ 4,285,116

a. Contract information

1) Revenue from the sale of goods

The revenue from sale of goods is derived from the manufacturing and sale of products related to restaurant chains and the sale of food ingredients used by franchisees to manufacture and sell related products. The Group recognizes revenue and accounts receivable at the point when the

products are manufactured, sold and the food ingredients delivered to the franchisee's designated location, as the customer has the right to set the price and use the merchandise and has the primary responsibility for the merchandise at the time of resale, and bears the risk of obsolescence of the merchandise. Revenue from merchandise sales is based on contract agreements with fixed prices.

2) Revenue from the sale of food and beverages

Sales of food and beverages are recognized when individual customers purchase food and beverages at company-operated stores.

3) Licensing revenue

Licensing revenue represents franchise fees received by the Group from franchisees for the right to access the Group's intellectual property during the license term.

b. Contract balances

	June 30, 2026	December 31, 2025	June 30, 2025	January 1, 2025
Notes receivable and accounts receivables (Note 11)	$ 172,638	$ 178,639	$ 160,668	$ 178,107

c. Disaggregation of revenue

Please refer to Note 40 for information on the disaggregation of revenue.

28. NET PROFIT FROM CONTINUING OPERATIONS

a. Interest income

	For the three months ended June 30		For the six months ended June 30	
	2026	2025	2026	2025
Bank deposits	$ 5,776	$ 3,166	$ 9,100	$ 4,287
Lease interest receivable	239	511	514	766
	$ 6,015	$ 3,677	$ 9,614	$ 5,053

b. Other income

	For the three months ended June 30		For the six months ended June 30	
	2026	2025	2026	2025
Rental income (Note 16)	$ 823	$ 1,650	$ 1,750	$ 3,472
Others	13,817	9,652	23,929	19,088
	$ 14,640	$ 11,302	$ 25,679	$ 22,560

c. Other gains and losses

	For the three months ended June 30		For the six months ended June 30	
	2026	2025	2026	2025
Loss on disposal of property, plant and equipment	$ (527)	$ (4,855)	$ (100)	$ (11,905)
Loss on disposal of intangible assets	(3)	-	(3)	-
Gain on financial assets at fair value through profit or loss	366	-	667	88
Net foreign exchange gains (losses)	637	(5,591)	1,940	(5,121)
Gain (loss) on lease modification	99	500	(391)	794
Other losses	(210)	(292)	(227)	(646)
	$ 362	$ (10,238)	$ 1,886	$ (16,790)

d. Financial costs

	For the three months ended June 30		For the six months ended June 30	
	2026	2025	2026	2025
Interest on bank loans	$ 3,203	$ 3,310	$ 6,315	$ 5,687
Interest on convertible corporate bonds	5,125	-	10,223	-
Interest on lease liabilities	13,675	9,407	26,343	19,176
	$ 22,003	$ 12,717	$ 42,881	$ 24,863

The Group did not capitalize any interest the six months ended June 30, 2026 and 2025.

e. Depreciation and amortization

	For the three months ended June 30		For the six months ended June 30	
	2026	2025	2026	2025
An analysis of depreciation by function				
Operating costs	$ 102,793	$ 107,385	$ 209,770	$ 217,531
Operating expenses	83,110	81,032	166,142	166,541
	$ 185,903	$ 188,417	$ 375,912	$ 384,072
An analysis of amortization by function				
Operating costs	$ 7	$ 7	$ 14	$ 14
Selling expenses	43	67	97	156
Administrative expenses	1,940	1,384	3,929	2,727
	$ 1,990	$ 1,458	$ 4,040	$ 2,897

f. Employee benefits expense

	For the three months ended June 30		For the six months ended June 30	
	2026	2025	2026	2025
Short-term benefits	$ 468,310	$ 423,207	$ 927,917	$ 869,429
Post-employment benefits (Note 25)				
Defined contribution plan	12,357	12,758	24,880	26,832
Defined benefit plans	12	113	23	241
Total employee benefits expense	$ 480,679	$ 436,078	$ 952,820	$ 896,502
An analysis of employee benefits expense by function				
Operating costs	$ 214,142	$ 195,111	$ 427,837	$ 404,929
Operating expenses	266,537	240,967	524,983	491,573
	$ 480,679	$ 436,078	$ 952,820	$ 896,502

g. Compensation of employees and remuneration of directors

According to the Company's Articles, the Company accrues compensation of employees and remuneration of directors at rates of no less than 1% and no higher than 1%, respectively, of net profit before income tax, compensation of employees, and remuneration of directors. In accordance with the amendments to the Securities and Exchange Act in August 2024, the shareholders of the Company resolved the amendments to the Company's Articles at the 2025 regular meeting. The amendments explicitly stipulate the allocation of no less than 40% of the compensation of employees as compensation distributions for non-executive employees. The accrued compensation of employees and remuneration of directors for the six months ended June 30, 2026 and 2025 were as follows:

Accrual rate

	For the six months ended June 30	
	2026	2025
Compensation of employees	1.28%	1.43%
Remuneration of directors	0.51%	0.61%

Amount

	For the three months ended June 30		For the six months ended June 30	
	2026	2025	2026	2025
Compensation of employees	$ 3,750	$ 4,000	$ 7,500	$ 7,000
Remuneration of directors	1,500	1,500	3,000	3,000

If there is a change in the amounts after the annual consolidated financial statements are authorized for issue, the differences are recorded as a change in the accounting estimate.

The appropriations of employees' compensation and remuneration of directors for 2025 and 2024 that were resolved by the board of directors on March 10, 2026 and March 13, 2025, respectively, are as shown below:

	For the year ended December 31	
	2025	2024
	Cash	Cash
Compensation of employees	$ 16,000	$ 11,600
Remuneration of directors	6,000	5,400

There is no difference between the actual amounts of compensation of employees and remuneration of directors approved and the amounts recognized in the consolidated financial statements for the years ended December 31, 2025 and 2024.

Information on the compensation of employees and remuneration of directors and supervisors resolved by the Company's board of directors is available at the Market Observation Post System website of the Taiwan Stock Exchange.

29. INCOME TAX RELATING TO CONTINUING OPERATIONS

a. Income tax recognized in profit or loss

Major components of income tax expense are as follows:

	For the three months ended June 30		For the six months ended June 30	
	2026	2025	2026	2025
Current tax				
In respect of the current period	$ 62,993	$ 54,295	$ 126,695	$ 105,317
Income tax on unappropriated earnings	-	555	-	555
Adjustments for prior year	(1,076)	429	(5,602)	(4,647)
	61,917	55,279	121,093	101,225
Deferred tax				
In respect of the current period	(3,707)	(5,883)	(6,660)	(6,191)
	(3,707)	(5,883)	(6,660)	(6,191)
Income tax expense recognized in profit or loss	$ 58,210	$ 49,396	$ 114,433	$ 95,034

b. Income tax recognized in other comprehensive income

	For the three months ended June 30		For the six months ended June 30	
	2026	2025	2026	2025
Deferred tax				
In respect of the current period				
Translation of foreign operations	$ (1,536)	$ (30,731)	$ 2,044	$ (27,286)
Total income tax recognized in other comprehensive income	$ (1,536)	$ (30,731)	$ 2,044	$ (27,286)

c. Income tax assessments

The income tax returns of the Company and its subsidiaries, Bafang Yunji Restaurant Co., Ltd., Fang Sin International Trading Co., Ltd., Ji Yuan Foods Co., Ltd. and Dante Coffee & Foods Co., Ltd.,

through 2024, have been assessed by the tax authorities.

30. EARNINGS PER SHARE

Unit: NT$ Per Share

	For the three months ended June 30		For the six months ended June 30	
	2026	2025	2026	2025
Basic earnings per share				
Basic earnings per share	$ 3.45	$ 2.89	$ 7.01	$ 5.81
Pro forma earnings per share that was adjusted retrospectively to reflect the effects of changes in the number of shares resulting from the issuance of bonuses (September 1, 2026) after these consolidated financial statements were approved	$ 3.29	$ 2.75	$ 6.67	$ 5.53
Diluted earnings per share				
Diluted earnings per share	$ 3.28	$ 2.89	$ 6.65	$ 5.81
Pro forma earnings per share that was adjusted retrospectively to reflect the effects of changes in the number of shares resulting from the issuance of bonuses (September 1, 2026) after these consolidated financial statements were approved	$ 3.12	$ 2.75	$ 6.33	$ 5.53

The earnings and weighted average number of ordinary shares outstanding used in the computation of earnings per share were as follows:

Net profit for the period

	For the three months ended June 30		For the six months ended June 30	
	2026	2025	2026	2025
Profit for the period attributable to owners of the Company	$ 230,032	$ 192,581	$ 466,992	$ 387,538
Effect of potentially dilutive ordinary shares				
Interest on convertible bonds (after tax) and net gain (loss) on financial liabilities measured at fair value through profit or loss	4,201	-	8,479	-
Earnings used in the computation of diluted earnings per share	$ 234,233	$ 192,581	$ 475,471	$ 387,538

Number of Shares

Unit: In Thousands of Shares

	For the three months ended June 30		For the six months ended June 30	
	2026	2025	2026	2025
Weighted average number of ordinary shares used in the computation of basic earnings per share	66,645	66,645	66,645	66,645
Effect of potentially dilutive ordinary shares				
Compensation of employees	20	40	73	67
Convertible bonds	4,826	-	4,826	-
Weighted average number of ordinary shares used in the computation of diluted earnings per share	71,491	66,685	71,544	66,712

The Group may settle the compensation of employees in cash or shares; therefore, the Group assumes that the entire amount of the compensation will be settled in shares, and the resulting potential shares are included in the weighted average number of shares outstanding used in the computation of diluted earnings per share, as the effect is dilutive. Such dilutive effect of the potential shares is included in the computation of diluted earnings per share until the number of shares to be distributed to employees is resolved in the following year.

31. NON-CASH TRANSACTIONS

a. Non-cash transactions

In addition to those disclosed in other notes, the Group entered into the following non-cash investing activities which were not reflected in the consolidated statements of cash flows for the six months ended June 30, 2026 and 2025:

1) Acquisition of property, plant and equipment

	For the six months ended June 30	
	2026	2025
Additions to property, plant and equipment	$ 180,467	$ 346,278
Add: Equipment payables at the beginning of the period	17,807	50,635
Decrease in asset retirement obligations	846	880
Less: Equipment payables at the end of the period	(9,427)	(13,951)
Increase in asset retirement obligations	(120)	(362)
Cash paid	$ 189,573	$ 383,480
Disposal of property, plant and equipment		
Proceeds from disposal	$ 23,989	$ 18,955
Add: Disposal receivables at the beginning of the period	72	767
Less: Disposal receivables at the end of the period	(40)	(300)
Cash received	$ 24,021	$ 19,422

2) Cash dividends

The cash dividends resolved by the Board of Directors were not yet distributed as of June 30, 2026 and 2025 (refer to Notes 23 and 26).

3) Prepayments for equipment

The Group reclassified prepayments for equipment to property, plant and equipment of $10,979 thousand and $53,684 thousand for the six months ended June 30, 2026 and 2025, respectively.

b. Changes in liabilities arising from financing activities

For the six months ended June 30, 2026

			Non-cash changes			
	Opening Balance	Cash Flows	New/ Amended Leases	Translation Adjustments	Interest Expense	Closing Balance
Short-term borrowings	$ 110,005	$ -	$ -	$ 1,470	$ -	$ 111,475
Long-term borrowings	91,749	20,407	-	1,190	-	113,346
Bonds payable	941,301	-	-	-	10,223	951,524
Lease liabilities	1,643,015	(268,737)	203,006	10,722	26,343	1,614,349
Guarantee deposits received	65,905	16,265	-	-	-	82,170
	$ 2,851,975	$ (232,065)	$ 203,006	$ 13,382	$ 36,566	$ 2,872,864

For the six months ended June 30, 2025

			Non-cash changes			
	Opening Balance	Cash Flows	New/ Amended Leases	Translation Adjustments	Interest Expense	Closing Balance
Short-term borrowings	$ 181,963	$ 520,237	$ -	$ -	$ -	$ 702,200
Long-term borrowings	31,714	13,623	-	(4,750)	-	40,587
Lease liabilities	1,579,676	(276,609)	207,804	(98,761)	19,176	1,431,286
Guarantee deposits received	55,476	4,391	-	-	-	59,867
	$ 1,848,829	$ 261,642	$ 207,804	$ (103,511)	$ 19,176	$ 2,233,940

32. CAPITAL MANAGEMENT

The Group manages its capital to ensure that entities in the Group will be able to continue as going concerns while maximizing the return to stakeholders through the optimization of the debt and equity balance.

The capital structure of the Group consists of net debt (borrowings offset by cash and cash equivalents) and equity of the Group (comprising issued capital, reserves, retained earnings, other equity and non-controlling interests).

The Group is not subject to any externally imposed capital requirements.

The Group's capital structure is reviewed annually by the Group's key management, which includes consideration of the cost of each type of capital and the related risks. The Group will balance its overall capital structure by paying dividends, issuing new shares, buying back shares and issuing new debt or paying off old debt, as recommended by key management.

33. FINANCIAL INSTRUMENTS

a. Fair value of financial instruments not measured at fair value

Except for the table below, the Group considers that the carrying amount of financial assets and liabilities that are not at fair value is close to the fair value, or the fair value cannot be reliably measured.

June 30, 2026

	Carrying Amount	Fair Value			
		Level 1	Level 2	Level 3	Total
Financial liabilities					
Financial liabilities at amortized cost					
Bonds payable	$ 951,524	$ 1,106,200	$ -	$ -	$ 1,106,200

December 31, 2025

	Carrying Amount	Fair Value			
		Level 1	Level 2	Level 3	Total
Financial liabilities					
Financial liabilities at amortized cost					
Bonds payable	$ 941,301	$ 1,100,400	$ -	$ -	$ 1,100,400

b. Fair value of financial instruments measured at fair value on a recurring basis

1) Fair value hierarchy

June 30, 2026

	Level 1	Level 2	Level 3	Total
Financial assets at FVTPL				
Structured deposits	$ -	$ 150,162	$ -	$ 150,162
Call options of convertible corporate bonds	-	-	100	100
Mutual fund beneficiary certificates	210,052	-	-	210,052
	$ 210,052	$ 150,162	$ 100	$ 360,314
Financial assets at FVTOCI				
Investments in equity instruments				
Unlisted shares	$ -	$ -	$ 3,750	$ 3,750

December 31, 2025

	Level 1	Level 2	Level 3	Total
Financial assets at FVTPL				
Structured deposits	$ -	$ 120,017	$ -	$ 120,017
Call options of convertible corporate bonds	-	-	400	400
	$ -	$ 120,017	$ 400	$ 120,417
Financial assets at FVTOCI				
Investments in equity instruments				
Unlisted shares	$ -	$ -	$ 3,750	$ 3,750

June 30, 2025

	Level 1	Level 2	Level 3	Total
Financial assets at FVTOCI				
Investments in equity instruments				
Unlisted shares	$ -	$ -	$ 3,750	$ 3,750

There were no transfers between Levels 1 and 2 for the six months ended June 30, 2026 and 2025.

2) Reconciliation of Level 3 fair value measurements of financial instruments

For the six months ended June 30, 2026

	Financial Assets at FVTPL	Financial Assets at FVTOCI	
Financial Assets	Derivatives	Equity Instruments	Total
Balance at the beginning of the period	$ 400	$ 3,750	$ 4,150
Recognized in profit or loss (included in other gains and losses)	(300)	-	(300)
Balance at the end of the period	$ 100	$ 3,750	$ 3,850

For the six months ended June 30, 2025

	Financial Assets at FVTOCI Equity Instruments
Balance at the beginning and end of the period	$ 3,750

3) Valuation techniques and inputs applied for Level 2 fair value measurement

Financial instrument	Valuation technique and inputs
Structured deposits mandatorily measured at fair value through profit or loss	The fair value is determined based on the present value of future cash flows, using a discount rate curve derived from quoted prices in the active market.

4) Valuation techniques and inputs applied for Level 3 fair value measurement

a. The fair value of unlisted equity instruments is estimated based on an analysis of the investee's financial position and operating results, recent transaction prices, quoted prices of similar instruments in active markets, and valuation multiples of comparable companies. These estimates are not based on observable market prices or interest rates. Significant unobservable inputs include the liquidity discount. A decrease in the liquidity discount would result in an increase in the fair value of the investment.

b. Convertible bonds with embedded derivatives - call options are valued using a binomial tree convertible bond valuation model, with significant unobservable inputs including stock price volatility, risk discount rate, and liquidity risk parameters.

c. Categories of financial instruments

	June 30, 2026	December 31, 2025	June 30, 2025
Financial assets			
Financial assets at amortized cost (Note 1)	$ 2,390,711	$ 2,422,023	$ 2,099,079
FVTPL Mandatorily classified as at FVTPL	360,414	120,417	-
Financial assets at FVTOCI	3,750	3,750	3,750
Financial liabilities			
Amortized cost (Note 2)	2,482,606	2,242,589	1,865,278

Note 1: The balances include financial assets at amortized cost, which comprise cash and cash equivalents, accounts receivables, financial assets at amortized cost - current, other receivables, other financial assets - current, and refundable deposits.

Note 2: The balances include financial liabilities at amortized cost, which comprise short-term loans, notes payable, accounts payable, other payables, other financial liabilities - current, bonds payable, long-term loans and guarantee deposits received.

d. Financial risk management objectives and policies

The Group's major financial instruments include equity investments, accounts receivables and accounts payables. The Group's corporate treasury function provides services to the business, coordinates access to domestic and international financial markets, and monitors and manages the financial risks relating to the operations of the Group through internal risk reports that analyze exposures by degree and magnitude of risks. These risks include market risk (including foreign currency risk, interest rate risk and other price risk), credit risk and liquidity risk.

The Group's finance department assesses various financial risks through the annual budgeting process and develops financial planning strategies in advance to effectively manage those risks. In addition, financial risks are regularly evaluated and reviewed to ensure timely adjustments to the corresponding risk management measures. When significant risks are identified, the issues and corresponding response plans are reported to management through executive meetings.

1) Market risk

The Group's activities exposed it primarily to the financial risks of changes in foreign currency exchange rates (see a. below) and interest rates (see b. below).

a) Foreign currency risk

The carrying amounts of the Group's foreign currency denominated monetary assets and monetary liabilities at the end of the reporting period are set out in Note 38.

Sensitivity analysis

The following table details the Group's sensitivity to a 1% increase and decrease in the New Taiwan dollar (i.e., the functional currency) against the relevant foreign currencies. The sensitivity rate used when reporting foreign currency risk internally to key management personnel and representing management's assessment of the reasonably possible change in foreign exchange rates is 1%. The amounts disclosed below represent the estimated increase (decrease) in pre-tax profit resulting from a 1% weakening (strengthening) of the New Taiwan dollar against each relevant currency.

	USD Impact	
	For the six months ended June 30	
	2026	2025
Profit or loss	$ 1,358	$ 856

b) Interest rate risk

The Group is exposed to interest rate risk because entities in the Group borrow funds at both fixed and floating interest rates and hold bank deposits.

The carrying amounts of the Group's financial assets and financial liabilities with exposure to interest rates at the end of the reporting period were as follows:

	June 30, 2026	December 31, 2025	June 30, 2025
Fair value interest rate risk			
Financial assets	$ 883,388	$ 1,105,682	$ 787,290
Financial liabilities	951,524	941,301	-
Cash flow interest rate risk			
Financial assets	1,298,198	1,071,875	969,803
Financial liabilities	224,821	201,754	742,787

Sensitivity analysis

The sensitivity analysis below was determined based on the Group's exposure to interest rates for both derivative and non-derivative instruments at the end of the reporting period. For floating rate assets and liabilities, the analysis was prepared assuming the amount of each liability outstanding at the end of the reporting period was outstanding for the whole period. The rate of change used in reporting interest rates internally to key management of the Group is an increase or decrease in interest rates by 0.5%, which represents management's assessment of the range of reasonably possible changes in interest rates.

If interest rates had increased or decreased by 0.5%, with all other variables were held constant, the Group's pre-tax profit for the six months ended June 30, 2026 and 2025 would have increased/decreased by $2,683 thousand and $568 thousand, respectively, which was mainly a result of variable-rate bank deposits.

c) Other price risk

The Group was exposed to equity price risk through its investments in equity instruments. The management of the Group manages risks by holding a diversified portfolio of investments with different risk profiles. In addition, the Group has appointed a special team to monitor the price risk and will consider hedging the risk exposure should the need arise.

Sensitivity analysis

The sensitivity analysis below was determined based on the exposure to equity price risks at the end of the reporting period.

If equity prices had been 3% higher/lower, pre-tax other comprehensive income for the six months ended June 30, 2026 and 2025 would have both increased/decreased by $113 thousand, mainly because the Group's holding of financial assets measured at fair value through other comprehensive income and loss did not change in the current period.

2) Credit risk

Credit risk refers to the risk that a counterparty will default on its contractual obligations resulting in a financial loss to the Group. At the end of the reporting period, the Group's maximum exposure to credit risk, which would cause a financial loss to the Group due to the failure of the counterparty to discharge its obligation and due to the financial guarantees provided by the Group, could be equal to the carrying amount of the respective recognized financial assets as stated in the balance sheets.

The Group's policy is to engage in transactions only with counterparties that have strong credit ratings. When necessary, the Group obtains sufficient collateral to mitigate the risk of financial loss resulting from default. The Group continuously monitors its credit exposure and the creditworthiness

of counterparties. Credit risk is managed through the establishment of counterparty credit limits, which are reviewed and approved annually by personnel designated by management. At each the end of the reporting period, the recoverability of accounts receivables is assessed on an individual basis to ensure that adequate impairment losses are recognized for receivables that are deemed uncollectible. The Group transacts with a large number of unrelated customers and thus, credit risk is not highly concentrated.

3) Liquidity risk

The Group manages liquidity risk by monitoring and maintaining a level of cash and cash equivalents deemed adequate to finance the Group's operations and mitigate the effects of fluctuations in cash flows. In addition, management monitors the utilization of bank borrowings and ensures compliance with loan covenants.

Ultimate responsibility for liquidity risk management rests with the board of directors, which has built an appropriate liquidity risk management framework for the Group's short-, medium- and long-term funding and liquidity management requirements.

The Group relies on bank borrowings as a significant source of liquidity. As of June 30, 2026, December 31, 2025 and June 30, 2025, the Group had available unutilized short-term bank loan facilities set out in (b) Financing facilities below.

a) Liquidity and interest rate risk tables for non-derivative financial liabilities

The following table details the Group's remaining contractual maturities for its non-derivative financial liabilities with agreed upon repayment periods. The table has been drawn up based on the undiscounted cash flows of financial liabilities from the earliest date on which the Group can be required to pay. The table includes both interest and principal cash flows. Specifically, bank loans with a repayment on demand clause were included in the earliest time band regardless of the probability of the banks choosing to exercise their rights. The maturity dates for other non-derivative financial liabilities were based on the agreed upon repayment dates.

The undiscounted interest amount of interest cash flows paid at floating interest rates is derived from the yield rate at the end of the reporting period.

June 30, 2026

	Less Than 1 Year	1-3 Years	3-5 Years	5+ Years
Floating interest rate instrument				
Short-term borrowings	$ 117,968	$ -	$ -	$ -
Long-term borrowings	35,393	77,379	9,822	-
Bonds payable	-	1,000,000	-	-
Lease liabilities	450,161	550,891	340,955	560,083
Non-interest bearing				
Notes payable	618	-	-	-
Accounts payables	287,390	-	-	-
Other payables	902,913	-	-	-
Guarantee deposits received	82,170	-	-	-
	$ 1,876,613	$ 1,628,270	$ 350,777	$ 560,083

Further information on the maturity analysis of lease liabilities was as follows:

	Less than 1 Year	1-5 Years	5-10 Years	10-15 Years	15-20 Years	20+ Years
Lease liabilities	$450,161	$891,846	$482,598	$62,837	$14,648	$ -

December 31, 2025

	Less Than 1 Year	1-3 Years	3-5 Years	5+ Years
Floating interest rate instrument				
Short-term borrowings	$ 118,191	$ -	$ -	$ -
Long-term borrowings	20,333	65,490	9,767	2,441
Bonds payable	-	1,000,000	-	-
Lease liabilities	477,328	374,457	507,572	474,371
Non-interest bearing				
Notes payable	1,422	-	-	-
Accounts payables	286,682	-	-	-
Other payables	711,988	-	-	-
Guarantee deposits received	65,905	-	-	-
	$ 1,681,849	$ 1,439,947	$ 517,399	$ 476,812

Further information on the maturity analysis of lease liabilities was as follows:

	Less than 1 Year	1-5 Years	5-10 Years	10-15 Years	15-20 Years	20+ Years
Lease liabilities	$ 477,328	$ 882,029	$ 340,325	$ 116,600	$ 17,446	$ -

June 30, 2025

	Less Than 1 Year	1-2 Years	2-5 Years	5+ Years
Floating interest rate instrument				
Short-term borrowings	$ 708,210	$ -	$ -	$ -
Long-term borrowings	8,772	22,020	9,091	4,542
Lease liabilities	426,635	304,915	427,751	381,116
Non-interest bearing				
Notes payable	3,317	-	-	-
Accounts payables	239,855	-	-	-
Other payables	785,362	-	-	-
Guarantee deposits received	59,867	-	-	-
	$ 2,232,018	$ 326,935	$ 436,842	$ 385,658

Further information on the maturity analysis of lease liabilities was as follows:

	Less than 1 Year	1-5 Years	5-10 Years	10-15 Years	15-20 Years	20+ Years
Lease liabilities	$ 426,635	$ 732,666	$ 347,675	$ 21,079	$ 12,362	$ -

The amounts included above for variable interest rate instruments for both non-derivative financial assets and liabilities are subject to change if changes in variable interest rates differ from those estimates of interest rates determined at the end of the reporting period.

b) Financing facilities

	June 30, 2026	December 31, 2025	June 30, 2025
Bank loan facilities which may be extended by mutual agreement			
Amount drawn	$ 111,475	$ 110,005	$ 702,200
Amount undrawn	1,395,175	1,392,865	722,900
	$ 1,506,650	$ 1,502,870	$ 1,425,100
Bank long-term loan facilities			
Amount drawn	$ 113,346	$ 91,749	$ 40,587
Amount undrawn	31,850	59,717	80,000
	$ 145,196	$ 151,466	$ 120,587

34. TRANSACTIONS WITH RELATED PARTIES

Balances and transactions between the Company and its subsidiaries, which are related parties of the Company, have been eliminated on consolidation and are not disclosed in this note.

a. Related party name and category

Related Party Name	Related Party Category
Lin, Chia-Yu	Key management personnel (including the Company's directors)
Worldway International Group Limited	Substantive related party
Meide Eatery	Substantive related party
Wuhua Eatery	Substantive related party
Taiyuan Eatery	Substantive related party
Yutingyuan Enterprise	Substantive related party
Taimanhan Diner	Substantive related party
Taimanji Diner	Substantive related party
Yangyang Eatery	Substantive related party
Su, Hsiao-Chi	Substantive related party
Vivian Peng	Substantive related party
New Taipei City Private Bafang Yunji Social Welfare Charitable Foundation (hereinafter referred to as Bafang Yunji Foundation)	Substantive related party

b. Operating revenue

Line Item	Related Party Category/Name	For the three months ended June 30 2026	For the three months ended June 30 2025	For the six months ended June 30 2026	For the six months ended June 30 2025
Sales of goods	Substantive related party				
	Others	$ 13,930	$ 12,215	$ 27,088	$ 24,130
Licensing revenue	Substantive related party				
	Others	115	110	229	223
		$ 14,045	$ 12,325	$ 27,317	$ 24,353

The sales prices and payment terms for transactions with related parties were comparable to those with third-party customers.

c. Manufacturing expenses and operating expenses

Line Item	Related Party Category/Name	For the three months ended June 30 2026	For the three months ended June 30 2025	For the six months ended June 30 2026	For the six months ended June 30 2025
Operating expenses	Substantive related party				
Service fees	Others	$ 240	$ 280	$ 480	$ 640

d. Receivables from related parties

Line Item	Related Party Category/Name	June 30, 2026	December 31, 2025	June 30, 2025
Accounts receivables	Substantive related party	$ 1,176	$ 1,250	$ 1,143
Other receivables	Substantive related party	$ -	$ 1	$ -

The outstanding accounts receivables from related parties are unsecured. No impairment losses were recognized for accounts receivables from related parties as of June 30, 2026, December 31, 2025 and June 30, 2025.

e. Payable to related parties

Line Item	Related Party Category/Name	June 30, 2026	December 31, 2025	June 30, 2025
Other payables	Substantive related party	$ 80	$ 80	$ 80

The outstanding accounts payables to related parties are unsecured.

f. Lease arrangements - the Group is lessee

Related Party Category/Name	For the six months ended June 30 2026	2025
Acquisition of right-of-use assets		
Substantive related party	$ 6,154	$ -

Line Item	Related Party Category/Name	June 30, 2026	December 31, 2025	June 30, 2025
Lease liabilities	Substantive related party	$ 4,668	$ -	$ 1,448

Related Party Category/Name	For the three months ended June 30 2026	2025	For the six months ended June 30 2026	2025
Interest expense				
Substantive related party	$ 31	$ 11	$ 66	$ 28
Rent expense				
Substantive related party	$ 1,134	$ 871	$ 2,062	$ 1,601

For the six months ended June 30, 2026

Related Party Category/Name	Leased Asset	Lease Term	Rental Terms	Monthly Rent
Substantive related party	2304, Tsuen Wan Industrial Centre, Hong Kong	January 1, 2026 - December 31, 2027	Negotiated	$ 131
Substantive related party	2302, Tsuen Wan Industrial Centre, Hong Kong	January 1, 2026 - December 31, 2027	Negotiated	131
Substantive related party	A property located in Tustin, California, USA	January 1, 2026 - December 31, 2026	Negotiated	131
Key management personnel	A property located in Tustin, California, USA	January 1, 2026 - December 31, 2026	Negotiated	147
Key management personnel	A property located in Farmers Branch, Texas, USA	January 1, 2026 - December 31, 2026	Negotiated	45

For the six months ended June 30, 2025

Related Party Category/Name	Leased Asset	Lease Term	Rental Terms	Monthly Rent
Substantive related party	2304, Tsuen Wan Industrial Centre, Hong Kong	January 1, 2024 - December 31, 2025	Negotiated	$ 132
Substantive related party	2302, Tsuen Wan Industrial Centre, Hong Kong	January 1, 2024 - December 31, 2025	Negotiated	132
Substantive related party	A property located in Tustin, California, USA	January 1, 2025 - December 31, 2025	Negotiated	132
Key management personnel	A property located in Tustin, California, USA	January 1, 2025 - December 31, 2025	Negotiated	135

g. Lease arrangements - the Group is lessor

Operating lease

The Group leased its assets under an operating lease to the Bafang Yunji Foundation. As of June 30, 2026, December 31, 2025 and June 30, 2025, the total amount of future lease payments to be received was $82 thousand, $110 thousand and $138 thousand, respectively. The lease income

recognized for the three months ended June 30, 2026 and 2025 were both $14 thousand; and the lease income recognized for the six months ended June 30, 2026 and 2025 were both $28 thousand.

Capital sublease

The Group subleased right-of-use assets to Yutingyuan Enterprise under finance leases. As of June 30, 2026, December 31, 2025 and June 30, 2025, the balance of finance lease receivables was $1,420 thousand, $2,184 thousand and $2,943 thousand, respectively, and no impairment loss was recognized for the six months ended June 30, 2026 and 2025.

h. Guarantee deposits received

Related Party Category/Name	June 30, 2026	December 31, 2025	June 30, 2025
Substantive related party	$ 660	$ 660	$ 660

i. Other income

	For the three months ended June 30		For the six months ended June 30	
Related Party Category/Name	2026	2025	2026	2025
Substantive related party				
Others	$ 27	$ 3	$ 43	$ 11

j. Remuneration of key management personnel

	For the three months ended June 30		For the six months ended June 30	
Related Party Category/Name	2026	2025	2026	2025
Short-term employee benefits	$ 21,560	$ 27,501	$ 43,034	$ 48,975
Post-employment benefits	423	2,471	864	2,912
	$ 21,983	$ 29,972	$ 43,898	$ 51,887

The remuneration of directors and key executives is based on the performance of individuals and market trends.

35. ASSETS PLEDGED AS COLLATERAL OR FOR SECURITY

The following assets were provided as collateral for obtaining credit lines from financial institutions, electronic transfer service of money and the issuance of stored-value cards. The carrying amounts of the respective accounts were as follows:

	June 30, 2026	December 31, 2025	June 30, 2025
Financial assets at amortized cost - current			
Bank time deposit	$ 10,000	$ 11,865	$ 10,000
Other financial assets - current	36,903	34,573	48,742
Property, plant and equipment			
Building and construction	101,424	103,392	97,907
	$ 148,327	$ 149,830	$ 156,649

36. SIGNIFICANT CONTINGENT LIABILITIES AND UNRECOGNIZED COMMITMENTS

In addition to those described in other notes, the Group had the following significant commitments and contingencies as of the end of the reporting period.

As of June 30, 2026, December 31, 2025, and June 30, 2025, the amounts of capital expenditures contracted for the construction and acquisition of related plants and equipment but not yet paid were $232,921 thousand, $121,542 thousand, and $305,735 thousand, respectively.

37. SIGNIFICANT SUBSEQUENT EVENTS

Except for those disclosed in other notes, there were no other material subsequent events.

38. SIGNIFICANT ASSETS AND LIABILITIES DENOMINATED IN FOREIGN CURRENCIES

The Group's significant financial assets and liabilities denominated in foreign currencies aggregated by the foreign currencies other than functional currencies of the entities in the Group and the related exchange rates between the foreign currencies and the respective functional currencies were as follows:

Unit: In Thousands of Each Foreign Currency

June 30, 2026

	Foreign Currency	Exchange Rate	Carrying Amount
Financial assets			
Monetary items			
USD	$ 4,267	31.850 (USD:NTD)	$ 135,832
HKD	1,135	4.061 (HKD:NTD)	4,525

December 31, 2025

	Foreign Currency	Exchange Rate	Carrying Amount
Financial assets			
Monetary items			
USD	$ 1,634	31.43 (USD:NTD)	$ 51,370
HKD	1,701	4.040 (HKD:NTD)	6,870

June 30, 2025

	Foreign Currency	Exchange Rate	Carrying Amount
Financial assets			
Monetary items			
USD	$ 2,921	29.300 (USD:NTD)	$ 85,615
HKD	2,865	3.732 (HKD:NTD)	10,742

The Group's realized and unrealized net foreign exchange gains (losses) were exchange gains of $637 thousand and exchange losses of $5,591 thousand for the three months ended June 30, 2026 and 2025,

respectively; and exchange gains of $1,940 thousand and exchange losses of $5,121 thousand for the six months ended June 30, 2026 and 2025, respectively. It is impractical to disclose net foreign exchange gains (losses) by each significant foreign currency due to the variety of the foreign currency transactions.

39. SEPARATELY DISCLOSED ITEMS

a. Information on significant transactions:

1) Financing provided to others (None)

2) Endorsements/guarantees provided (Table 1)

3) Marketable securities held (excluding investments in subsidiaries, associates and joint ventures) (Table 2)

4) Total purchases from or sales to related parties amounting to at least NT$100 million or 20% of the paid-in capital (Table 3)

5) Receivables from related parties amounting to at least NT$100 million or 20% of the paid-in capital (None)

6) Other: Business relationships and material transactions between the parent company and its subsidiaries and among its subsidiaries (Table 4)

b. Information on investees (Table 5)

c. Information on investments in mainland China

1) Information on any investee company in mainland China, showing the name, principal business activities, paid-in capital, method of investment, inward and outward remittance of funds, ownership percentage, net income of investees, investment income or loss, carrying amount of the investment at the end of the period, repatriations of investment income, and limit on the amount of investment in the mainland China area (Table 6)

2) Any of the following significant transactions with investee companies in mainland China, either directly or indirectly through a third party, and their prices, payment terms, and unrealized gains or losses (None)

a) The amount and percentage of purchases and the balance and percentage of the related payables at the end of the period

b) The amount and percentage of sales and the balance and percentage of the related receivables at the end of the period

c) The amount of property transactions and the amount of the resultant gains or losses

d) The balance of negotiable instrument endorsements or guarantees or pledges of collateral at the end of the period and the purposes

e) The highest balance, the ending balance, the interest rate range, and total current period interest with respect to the financing of funds

f) Other transactions that have a material effect on the profit or loss for the period or on the financial position, such as the rendering or receipt of services

40. SEGMENT INFORMATION

Information reported to the chief operating decision maker for the purpose of resource allocation and assessment of segment performance focuses on the types of goods or services delivered or provided.

Reportable Segments	Brands Operated
Taiwan	- Bafang Yunji - Liang She-Han Pork Ribs - FJ Veggie - Dante Coffee
Hong Kong	- Bafang Yunji - Liang She-Han Pork Ribs - Bai Fung Bento - Bafang Noodles & More
United States	- Bafang Yunji

a. Segment revenue and results

The following was an analysis of the Group's revenue and results from continuing operations by reportable segments:

	For the six months ended June 30, 2026			
	Taiwan	Hong Kong	United States	Total
Revenue from external customers	$ 3,559,666	$ 598,236	$ 438,274	$ 4,596,176
Inter-segment revenue	37,570	-	-	37,570
Segment revenue	$ 3,597,236	$ 598,236	$ 438,274	4,633,746
Eliminations				(37,570)
Consolidated revenue				$ 4,596,176
Segment income	$ 597,843	$ 15,569	$ (57,040)	$ 556,372
Interest income				9,614
Rental income				1,750
Losses on disposal of property, plant and equipment				(100)
Net foreign exchange gains				1,940
Financial costs				(42,881)
Other gains and losses				23,975
Profit before tax (continuing operations)				$ 550,670

	For the six months ended June 30, 2025			
	Taiwan	Hong Kong	United States	Total
Revenue from external customers	$ 3,323,536	$ 672,587	$ 288,993	$ 4,285,116
Inter-segment revenue	39,043	-	-	39,043
Segment revenue	$ 3,362,579	$ 672,587	$ 288,993	4,324,159
Eliminations				(39,043)
Consolidated revenue				$ 4,285,116
Segment income	$ 488,965	$ 18,535	$ (25,348)	$ 482,152
Interest income				5,053
Rental income				3,472
Losses on disposal of property, plant and equipment				(11,905)
Net foreign exchange losses				(5,121)
Financial costs				(24,863)
Other gains and losses				19,324
Profit before tax (continuing operations)				$ 468,112

The revenues reported above were generated from transactions with external customers. Intersegment sales for the six months ended June 30, 2026 and 2025 have been fully eliminated.

Segment profit represents the profit before tax earned by each segment without allocation of central administration costs and directors' salaries, share of profit of associates, gains recognized on disposal of interests in former associates, lease income, interest income, gains or losses on disposal of property, plant and equipment, gains or losses on disposal of financial instruments, exchange gains or losses, valuation gains or losses on financial instruments, finance costs and income tax expense. This was the measure reported to the chief operating decision maker for the purpose of resource allocation and assessment of segment performance.

b. Total segment assets

	June 30, 2026	December 31, 2025	June 30, 2025
Taiwan	$ 5,195,292	$ 5,339,665	$ 4,738,591
Hong Kong	1,034,964	1,109,868	1,030,695
United States	2,205,563	1,768,879	1,358,597
Total segment assets	8,435,819	8,218,412	7,127,883
Unallocated assets	8,834	7,978	24,934
Consolidated total assets	$ 8,444,653	$ 8,226,390	$ 7,152,817

For the purpose of monitoring segment performance and allocating resources between segments:

All assets were allocated to reportable segments other than interests in associates accounted for using the equity method anddeferred tax assets. Assets used jointly by reportable segments were allocated on the basis of the revenue earned by individual reportable segments.

c. Revenue from major products and services

The Group is primarily engaged in the manufacturing and sale of products related to restaurant chains and the sale of food ingredients used in the manufacturing and sale of related products by franchisees as a single product category; therefore, information by product category is not required.

d. Geographical information

The Group operates in three principal geographical areas - Taiwan, Hong Kong and the United States.

The Group's revenue from continuing operations from external customers by location of operations and information on its non-current assets by location of assets are detailed below.

	Revenue from external customers		Non-current assets (Note)		
	For the six months ended June 30				
	2026	2025	June 30, 2026	December 31, 2025	June 30, 2025
Taiwan	$ 3,559,666	$ 3,323,536	$ 2,886,706	$ 3,009,719	$ 2,937,996
Hong Kong	598,236	672,587	694,819	802,741	748,037
United States	438,274	288,993	1,672,512	1,406,754	978,076
	$ 4,596,176	$ 4,285,116	$ 5,254,037	$ 5,219,214	$ 4,664,109

Note: Non-current assets exclude deferred tax assets.

e. Information on major customers

For the six months ended June 30, 2026 and 2025, no revenue from a single customer accounted for 10% or more of the Group's total revenue.

TABLE 1

BAFANG YUNJI INTERNATIONAL CO., LTD. AND SUBSIDIARIES

ENDORSEMENTS/GUARANTEES PROVIDED
FOR THE SIX MONTHS ENDED JUNE 30, 2026
(In Thousands of New Taiwan Dollars and Unless Stated Otherwise)

No. (Note 1)	Endorser/Guarantor	Endorsee/Guarantee		Limit on Endorsement/ Guarantee Given on Behalf of Each Party (Note 3)	Maximum Amount Endorsed/ Guaranteed During the Period	Outstanding Endorsement/ Guarantee at the End of the Period	Actual Amount Borrowed	Amount Endorsed/ Guaranteed By Collateral	Ratio of Accumulated Endorsement/ Guarantee to Net Equity in Latest Financial Statements (%)	Aggregate Endorsement/ Guarantee Limit (Note 3)	Endorsement/ Guarantee Given by Parent on Behalf of Subsidiaries	Endorsement/ Guarantee Given by Subsidiaries on Behalf of Parent	Endorsement/ Guarantee Given on Behalf of Companies in Mainland China	Note
		Name	Relationship (Note 2)											
0	Bafang Yunji International Co., Ltd.	Bafang Yunji Foods LLC	b.	$ 754,993	$ 94,980	$ 63,700	$ 47,775	$ -	1.69	$ 1,509,986	Y	N	N	
0	Bafang Yunji International Co., Ltd.	Bafang Yunji Restaurant Group LLC	b.	754,993	319,950	318,500	184,061	-	8.44	1,509,986	Y	N	N	
0	Bafang Yunji International Co., Ltd.	Bafang Yunji Restaurant Group Texas LLC	b.	754,993	63,990	63,700	-	-	1.69	1,509,986	Y	N	N	
0	Bafang Yunji International Co., Ltd.	Bafang Yunji Franchise (USA) Co.	b.	754,993	31,995	31,850	-	-	0.84	1,509,986	Y	N	N	
1	Bafang Yunji International (USA) Limited	Bafang Yunji Restaurant Group Texas LLC	b.	614,486	122,776	122,220	122,220	-	15.91	768,107	N	N	N	

Note 1: The number column is filled out as follows:

a. Fill in 0 for the issuer.
b. Each invested company is numbered in sequential order starting from 1.

Note 2: Relationship with the Company:

a. The companies with which it has business relations.
b. Subsidiaries in which the company directly holds more than 50% of its total outstanding common stocks.
c. Companies in which the total outstanding common stocks held by the parent company and its subsidiaries, calculated on a combined basis, exceed 50%.
d. The parent company that directly or indirectly holds more than 90% of the total outstanding common stocks through its subsidiaries.
e. Companies in same type of business and providing mutual endorsements/guarantees in favor of each other in accordance with the contractual obligations in order to fulfill the needs of the construction project.
f. Shareholders making endorsements and/or guarantees for their mutually invested company in proportion to their shareholding percentage.
g. Companies in the same industry providing among themselves joint and several security for a performance guarantee of a sales contract for pre-construction homes pursuant to the Consumer Protection Act.

Note 3: The maximum amount of endorsements/guarantees provided by Bafang Yunji International Co., Ltd. to any single entity is limited to 20% of its net worth. In addition, the maximum aggregate amount of endorsements/guarantees is limited to 40% of its net worth. The net worth is based on the amount as of June 30, 2026.

Note 4: The maximum amount of endorsements/guarantees provided by Bafang Yunji International (USA) Limited to any single entity is limited to 80% of its net worth. In addition, the maximum aggregate amount of endorsements/guarantees is limited to 100% of its net worth. The net worth is based on the amount as of June 30, 2026.

BAFANG YUNJI INTERNATIONAL CO., LTD. AND SUBSIDIARIES

MARKETABLE SECURITIES HELD
June 30, 2026
(In Thousands of New Taiwan Dollars and Unless Stated Otherwise)

Holding Company Name	Type and Name of Marketable Securities	Relationship with the Holding Company	Financial Statement Account	June 30, 2026				Note
				Number of Shares	Carrying Amount	Percentage of Ownership (%)	Fair Value	
Bafang Yunji International Co., Ltd.	Corporate bonds							
	First Commercial Bank	-	Financial assets at amortized cost - current	-	$ 19,721	-	$ 19,721	Domestic corporate bonds
	Mutual fund beneficiary certificates							
	Fubon Chi-Hsiang Money Market Fund	-	Financial assets at fair value through profit or loss - current	7,190,472	120,099	-	120,099	
	Fubon Money Market Fund	-	〃	5,689,229	90,053	-	90,053	
	Structured deposits							
	President DSU NTD 100% Capital Protected Structured Instrument	-	Financial assets at fair value through profit or loss - current	-	150,162	-	150,162	
Fang Sin International Trading Co., Ltd.	Domestic unlisted equity investments							
	WiXtar Corporation	-	Financial assets at fair value through other comprehensive income - non-current	150,000	3,750	0.95	3,750	

Note 1: The term “securities” as used in this table refers to stocks, bonds, mutual fund beneficiary certificates, and derivative securities arising from the aforementioned items, as defined under IFRS 9 “Financial Instruments”.

Note 2: For information on investment in subsidiaries, affiliates and joint venture interests, refer to Tables 5 and 6.

BAFANG YUNJI INTERNATIONAL CO., LTD. AND SUBSIDIARIES

TOTAL PURCHASES FROM OR SALES TO RELATED PARTIES AMOUNTING TO AT LEAST NT$100 MILLION OR 20% OF THE PAID-IN CAPITAL
FOR THE SIX MONTHS ENDED JUNE 30, 2026
(In Thousands of New Taiwan Dollars and Unless Stated Otherwise)

Buyer	Related Party	Relationship	Transaction				Abnormal Transactions		Notes/Accounts Receivable (Payable)		Note
			Purchase/Sale	Amount	% of Total	Payment Terms	Unit Price	Payment Terms	Ending Balance	% of Total	
Bafang Yunji International Co., Ltd.	Bafang Yunji Restaurant Co., Ltd.	Subsidiary	Sales	$ 221,336	6.70	Semi-monthly settlement	Same as the transaction price with regular customers	Same as the credit terms offered to regular customers	$ 17,150	12.94	Note
Bafang Yunji Foods LLC	Bafang Yunji Restaurant Group LLC	Sister company	Sales	129,620	100.00	Weekly settlement	Same as the transaction price with regular customers	Same as the credit terms offered to regular customers	16,578	100.00	Note

Note: The above transactions have been eliminated in the consolidated financial statements.

TABLE 4

BAFANG YUNJI INTERNATIONAL CO., LTD. AND SUBSIDIARIES

INTERCOMPANY RELATIONSHIPS AND SIGNIFICANT INTERCOMPANY TRANSACTIONS
FOR THE SIX MONTHS ENDED JUNE 30, 2026
(In Thousands of New Taiwan Dollars and Unless Stated Otherwise)

No. (Note 1)	Investee Company	Counterparty	Relationship (Note 2)	Transaction Details			
				Financial Statement Accounts	Amount	Payment Terms	% of Total Sales or Assets (Note 3)
0	Bafang Yunji International Co., Ltd.	Bafang Yunji Restaurant Co., Ltd.	a.	Sales of goods	$ 221,336	At regular transaction prices	4.82
	〃	〃	a.	Accounts receivables	17,150	At regular transaction prices	0.20
	〃	〃	a.	Advertising expenses	13,962	Note 5	0.30
	〃	〃	a.	Miscellaneous expenses	15,500	Note 5	0.34
	〃	〃	a.	Training expenses	5,401	Note 5	0.12
1	Fang Sin International Trading Co., Ltd.	Bafang Yunji International Company Limited	c.	Sales of goods	30,068	At regular transaction prices	0.65
	〃	Bafang Yunji Foods LLC	c.	Sales of goods	7,502	At regular transaction prices	0.16
2	Bafang Yunji Foods LLC	Bafang Yunji Restaurant Group LLC	c.	Sales of goods	129,620	At regular transaction prices	2.82
	〃	〃	c.	Accounts receivables	16,578	At regular transaction prices	0.20

Note 1: The numbers filled in for the transaction company in respect of inter-company transactions are as follows:

a. Parent company is “0”.
b. The subsidiaries are numbered in order starting from “1”.

Note 2: Relationship between transaction company and counterparty is classified into the following Three categories; fill in the number of category each case belongs to (if transactions between parent company and subsidiaries or between subsidiaries refer to the same transaction, it is not required to disclose twice. For example, if the parent company has already disclosed its transaction with a subsidiary, then the subsidiary is not required to disclose the transaction; for transactions between two subsidiaries, if one of the subsidiaries has disclosed the transaction, then the other is not required to disclose the transaction):

a. Parent company to subsidiary.
b. Subsidiary to parent company.
c. Subsidiary to subsidiary.

Note 3: Regarding percentage of transaction amount to consolidated total operating revenues or total assets, it is computed based on period-end balance of transaction to consolidated total assets for balance sheet accounts and based on accumulated transaction amount during the year to consolidated total operating revenues for income statement accounts.

Note 4: The Company may determine discretionally whether to have the material transactions in the Exhibit illustrated according to its materiality.

Note 5: The intercompany transactions, prices and terms are determined in accordance with mutual agreements and no other similar transactions could be used for comparison.

TABLE 5

BAFANG YUNJI INTERNATIONAL CO., LTD. AND SUBSIDIARIES

INFORMATION ON INVESTEES
FOR THE SIX MONTHS ENDED JUNE 30, 2026
(In Thousands of New Taiwan Dollars and Unless Stated Otherwise)

Investor Company	Investee Company	Location	Main Businesses and Products	Original Investment Amount		As of June 30, 2026			Net Income (Loss) of the Investee	Share of Profit (Loss)	Note
				June 30, 2026	December 31, 2025	Number of Shares	%	Carrying Amount			
Bafang Yunji International Co., Ltd.	Bafang Yunji (Samoa) International Co., Ltd.	Samoa	Investment management	$ 50,055 US$ 1,833,048	$ 50,055 US$ 1,833,048	1,833,048	100	$ 27,326 US$ 857,971	$ 429 US$ 13,560	$ 429 US$ 13,560	
	Bafang Yunji Restaurant Co., Ltd.	Taiwan	Food and beverage services	150,727	150,727	15,000,000	100	174,777	5,608	5,608	Note 1
	Fang Sin International Trading Co., Ltd.	Taiwan	Food trading	40,000	40,000	4,000,000	100	43,991	886	886	Note 1
	Bafang Co., Ltd.	Japan	Food processing and food and beverage services	81,621 JPY 300,000,000	81,621 JPY 300,000,000	30,000	100	44,455 JPY 226,466,326	(460) (JPY 2,298,376)	(460) (JPY 2,298,376)	Note 1
	Bafang Yunji International (USA) Limited	United States	Investment management	928,246 US$ 29,480,000	676,511 US$ 21,580,000	5,896	100	768,107 US$ 24,116,404	(48,456) (US$ 1,532,746)	(48,456) (US$ 1,532,746)	Note 1
	Bafang Yunji International Company Limited	Hong Kong	Food processing and food and beverage services	476,538 HK$ 119,617,830	476,538 HK$ 119,617,830	17,500,000	100	691,031 HK$ 170,162,721	9,913 HK$ 2,453,735	9,913 HK$ 2,453,735	Note 1
	Dante Coffee & Foods Co., Ltd.	Taiwan	Food and beverage services	20,000	20,000	2,000,000	100	1,677	(481)	(481)	Note 1
	Ji Yuan Foods Co., Ltd.	Taiwan	Livestock products manufacturing and sales	250,000	250,000	25,000,000	100	230,566	222	222	Note 1
Bafang Yunji International Company Limited	Hsin Chiao International Co. Limited	Hong Kong	Transportation	- HK$ 1	- HK$ 1	1	100	57,546 HK$ 14,170,403	4,181 HK$ 1,034,968	4,181 HK$ 1,034,968	Note 1
	Long Success (HK) Industrial Limited	Hong Kong	Food and beverage services	- HK$ 1	- HK$ 1	1	100	79,046 HK$ 19,464,721	(5,433) (HK$ 1,344,757)	(5,433) (HK$ 1,344,757)	Note 1
	Rich Grade Limited	Hong Kong	Food and beverage services	- HK$ 1	- HK$ 1	1	100	8,820 HK$ 2,171,783	(760) (HK$ 188,213)	(760) (HK$ 188,213)	Note 1
	Wise Success Enterprise Limited	Hong Kong	Transportation	- HK$ 1	- HK$ 1	1	100	1,058 HK$ 260,893	8 (HK$ 1,889)	8 (HK$ 1,889)	Note 1
	Jiashide Limited	Hong Kong	Investment management	6,891 RMB 1,500,000	6,891 RMB 1,500,000	10,000	100	-	-	-	Note 1
Jiashide Limited	Heng Yue Feng Trading (Shenzhen) Co., Ltd.	Mainland China	Food trading	6,891 RMB 1,500,000	6,891 RMB 1,500,000	-	100	-	-	-	Notes 1 and 2
Bafang Yunji International (USA) Limited	Bafang Yunji Foods LLC	United States	Food processing	116,598 US$ 3,780,000	116,598 US$ 3,780,000	-	60	33,374 US$ 1,047,835	(15,027) (US$ 475,313)	(9,016) (US$ 285,188)	Note 1
	Bafang Yunji Restaurant Group LLC	United States	Food and beverage services	84,205 US$ 2,700,000	84,205 US$ 2,700,000	-	60	68,478 US$ 2,150,023	(14,523) (US$ 459,375)	(8,714) (US$ 275,625)	Note 1
	Bafang Yunji Franchise (USA) Co.	United States	Franchising	16,140 US$ 500,000	16,140 US$ 500,000	500,000	100	14,379 US$ 451,452	(727) (US$ 22,993)	(727) (US$ 22,993)	Note 1
	Bafang Yunji Texas Corporation	United States	Investment management	562,515 US$ 17,700,000	439,353 US$ 13,800,000	17,700,000	60	513,557 US$ 16,124,248	(47,337) (US$ 1,497,351)	(28,402) (US$ 898,411)	Note 1
Bafang Yunji Texas Corporation	Bafang Yunji Foods Texas LLC	United States	Food processing	647,780 US$ 20,500,000	568,830 US$ 18,000,000	-	100	586,895 US$ 18,426,858	(34,448) (US$ 1,089,651)	(34,448) (US$ 1,089,651)	Note 1
	Bafang Yunji Restaurant Group Texas LLC	United States	Food and beverage services	274,483 US$ 8,500,000	148,163 US$ 4,500,000	-	100	254,745 US$ 7,998,268	(12,530) (US$ 396,357)	(12,530) (US$ 396,357)	Note 1

Note 1: The above investment income or loss of the investee for the six months ended June 30, 2026 was recognized based on the investee's financial statements for the same period reviewed by CPAs.

Note 2: Refer to Table 6 for the information on investees in Mainland China.

BAFANG YUNJI INTERNATIONAL CO., LTD. AND SUBSIDIARIES

INFORMATION ON INVESTMENT IN MAINLAND CHINA
FOR THE SIX MONTHS ENDED JUNE 30, 2026
(In Thousands of New Taiwan Dollars and Unless Stated Otherwise)

1. The name of the investees in Mainland China, main business, paid-in capital, investment methods, capital outward and inward remittances, shareholding, investment income and losses, investment book value, repatriated investment income and loss.

Investee Company	Main Businesses and Products	Paid-in Capital	Method of Investment (Note 1)	Accumulated Outward Remittance for Investment from Taiwan as of January 1, 2026	Remittance of Funds		Accumulated Outward Remittance for Investment from Taiwan as of June 30, 2026	Net Income (Loss) of the Investee	% Ownership of Direct or Indirect Investment	Investment Gain (Loss) (Note 2b.2))	Carrying Amount as of June 30, 2026	Accumulated Repatriation of Investment Income as of June 30, 2026	Note
					Outward	Inward							
Heng Yue Feng Trading (Shenzhen) Co., Ltd.	Food trading	$ 6,891	b.	$ 6,891 (RMB 1,500,000)	$ -	$ -	$ 6,891 (RMB 1,500,000)	$ - (RMB -)	100	$ - (RMB -)	$ - (RMB -)	$ -	

2. Investment quota for Mainland China

Accumulated Outward Remittance for Investment in Mainland China as of June 30, 2026 (Note 4)	Investment Amounts Authorized by the Investment Commission, MOEA	Upper Limit on the Amount of Investment Stipulated by the Investment Commission, MOEA (Note 3)
$502,428 (US$16,341,534)	$502,428 (US$16,341,534)	$2,511,142

Note 1: The investment methods can be divided into the following three types, and just indicate as such.

a. Invest in mainland China directly.
b. Invest in Mainland China through companies in third regions. (Please specify the investment company of the third region).
c. Other methods.

Note 2: In the column of investment income or loss recognized in the current period.

a. If the investment is under preparation and there is no investment income or loss, it should be noted.
b. The basis for recognizing investment income or losses is divided into the following three categories, which should be specified.

1) The financial statements have been audited by an international CPA firm with which CPA firms in the ROC. has a cooperative relationship.
2) The financial statements have been reviewed by the attesting CPA of the parent company in Taiwan.
3) Others: Unaudited financial statements.

Note 3: In accordance with the “Regulations Governing the Examination of Investment or Technical Cooperation in Mainland China” of the Investment Commission dated 2008.8.29, the higher of 60% of the net worth of the investor company or the consolidated net worth shall be the limit.

Note 4: Including the deregistration of Zhejiang Fuyu Foods Co., Ltd. in July 2020, Xiamen Fuyu Bafang Equity Investment Co., Ltd. in February 2021, and Zhejiang Fuyu Foods Co., Ltd. and Zhejiang Fuyu Restaurant & Management Co., Ltd. in March 2021, and Shanghai Dante Coffee Co., Ltd was deregistered in September 2022, Fujian Bafang Yunji Foods Co., Ltd. was deregistered in September 2023, and Fujian Bafang Yunji Restaurant & Management Co., Ltd. was deregistered in October 2023, the accumulated investment amount of $472,503 thousand remitted from Taiwan was not repatriated back.